

THE RISING NEPAL

ALL BE HAPPY, ALL BE WELL

Govt unveils Rs. 2124 bn budget for FY 2026/27

Economic growth target 7%, Inflation to be contained at 6%

BY MODNATH DHAKAL & LAXMAN KAFLE
Kathmandu, May 29

With an aspiration to achieve 7 per cent economic growth, Finance Minister Dr. Swarnim Wagle has announced a budget of Rs. 2124.34 billion for the next Fiscal Year 2026/27.

He has earmarked Rs. 1270.58 billion for recurrent expenditure, Rs. 431.10 billion for capital expenditure and Rs. 422.64 billion for financial arrangements. These allocations make up 59.8 per cent, 20.3 per cent and 19.9 per cent in the total budget, respectively.

"This expenditure estimate is 25.2 per cent higher than the revised estimate of the current FY 2025/26," FM Dr. Wagle said while presenting the budget at the joint session of the Federal Parliament on Friday evening.

During the half-yearly review of the budget, then finance minister Rameshore Prasad Khanal had slashed the size of budget by 14.04 per cent to Rs. 1688.32 billion.

For this year, then finance minister Bishnu Prasad Paudel had unveiled a budget of Rs. 1964.11 billion with Rs. 1180.98 billion (60.1 per cent) allocated to recurrent, Rs. 407.89 billion (20.8 per cent) to capital and Rs. 375.24 billion (19.1 per cent) to financing management. Last year's budget size was 18.2 per cent larger than the revised estimates. Earlier, in FY 2024/25, the budget size was Rs. 1860.40 billion.

A deficit of Rs. 657 billion

Next year's budget will have a deficit of Rs. 657.29 billion.

According to Finance Minister Dr. Wagle, the government has set a revenue target of Rs. 1405.31 billion for the next year. The remaining budget will be covered with Rs. 61.74 billion from foreign grants, Rs. 247.28 billion from foreign loans and Rs. 410 billion from domestic borrowing. "As Rs. 245.89 billion in principal of domestic loans will be repaid in the upcoming fiscal year, net domestic borrowing will amount to only Rs. 164.11 billion," read the budget document.

As per the suggestions of the National Natural Resources and Fiscal Commission, Dr. Wagle has made arrangements to provide fiscal equalisation grants of Rs. 61.50 billion to the provinces and Rs. 90.20 billion to local governments for the upcoming year.

He said that complementary grants of Rs. 4.60 billion will be provided to provinces and Rs. 893 billion to local governments for implementing infrastructure projects. Likewise, special grants of Rs. 3.82 billion has been earmarked for provinces and Rs. 9.40 billion for local governments. For the implementation of federal government projects, the budget has allocated conditional grants of Rs. 39.72 billion to provinces and Rs. 206.8 billion to local governments.

Dr. Wagle estimated that a total of Rs. 175 billion will be transferred to provinces and local governments through revenue sharing. In the upcoming fiscal year, it is projected that over Rs. 600 billion will be mobilised in provinces and local governments through revenue sharing (including royalties) and fiscal transfers.

"As Finance Minister, I have taken this on not merely as a constitutional formality, but as a duty to transform the character of the state, the culture

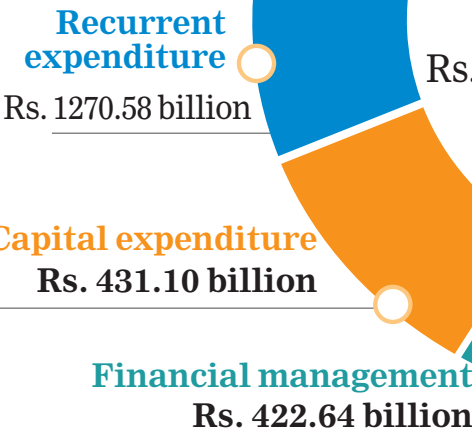
of governance, and the nature of the economy," said the Finance Minister, adding that the budget will serve as a policy document to meet expectations regarding production-oriented economy, international prestige and technology-driven change.

According to him, the need of the hour is to put an end to policy confusion, delays, institutional capture, and the exploitation of state resources, and to build a results-oriented governance system.

He said that the government is committed to launching an aggressive series of operational improvements to transform the pace and momentum of capital expenditure.

It will work in 'mission mode' to complete projects within the specified cost and on time, by improving procurement processes, ensuring flexibility in resource management (including fund reallocation), mobilising alternative finance, and guaranteeing stability in the tenure of project heads.

Dr. Wagle announced to formulate a sunset law relating to development projects within the current fiscal year and



present it to the parliament. "We will make arrangements to track mobilisation advances, ensuring such funds are spent only on the relevant project. An initial pipeline of infrastructure projects that can be built under the hybrid annuity model will be ready within three months," he said.

The budget also pledged to address the difficulties faced by construction contractors as a result of price hikes in fuel, bitumen and other construction materials caused by the conflict in the Middle East.

FM Dr. Wagle has exhibited 'cautions' to focus the capital expenditure to a few priority sectors and large infrastructure projects that will promote growth and further development. Small projects and piecemeal allocations have been discouraged in the budget.

Salaries raised

FM Dr. Wagle increased the starting salary of government employees by 10 per cent while maintaining the existing dearness allowance. Likewise, to introduce a performance-based pay system, he has made a provision for a monthly incentive allowance equivalent to 10 per cent of the new salary scale. This will result in a net increase of approximately 21 per cent in the current remuneration, raising the minimum remuneration (including grade) to around Rs. 40,000, and beyond Rs. 100,000 at the

upper level.

The new salary scale will come into effect from mid-July, beginning of the new FY 2026/27.

Stating that the salaries of civil servants have not been increased for the past four years, during which time the consumer price index-based inflation has risen by 17.3 per cent, Dr. Wagle increased the salary.

Execution challenges

Meanwhile, the budget that is augmented to about one-third of the Gross Domestic Product (GDP) of the country which is expected to reach Rs. 6,609 billion by the end of this fiscal (mid-July this year) comes with mobilisation challenges. The leaders of the opposition parties termed the budget 'ambitious' and pointed to the challenges of its implementation.

Likewise, the government has targeted to contain inflation at a maximum of 6 per cent.

Former finance minister Janardan Sharma said that the budget is positive and optimistic and welcomed the policy and legal reforms announced. In his social media post, he said that the focus on digital development and priority to Sudurpaschim, Karnali and Madhes provinces as well as education and health are highly positive steps.

However, former minister and CPN-UML Lawmaker Padma Kumari Aryal

said that the budget has inherent execution challenges. Talking to media persons after the budget announcement, she said that the programmes announced through the budget lack sufficient allocation and execution assurance.

Likewise, Rastriya Prajatantra Party's lawmaker Khusbu Oli also termed the budget ambitious and said it lacked specific plans and programmes to increase the income of people.

'Growth poles and Quads'

FM Dr. Wagle announced to implement an integrated plan of policy and physical infrastructure to develop such areas as 'growth poles and quads'. This is said to be achieved by increasing investment in the comprehensive regional development of rural and peri-urban areas that have the best potential for economic growth.

Taking the 122,000-hectare command area to be irrigated by the Sunkoshi Marin Diversion as a base, and completing the remaining work on the Postal and East-West Highways, a Mid-Madhesh Quadrangle for agriculture and industry is planned.

Similarly, arrangements will be made to promote medicinal herbs, hydropower, tourism and mining-related activities in the 'Karnali Quadrangle' comprising the Mid-Hill (Pushpahal) Highway, Karnali Highway, Bheri Corridor, and the route from Rara via

Personal income tax threshold	Rs. 1 million
Government employees' salary up by	21%
Additional	1,040 MW of electricity generation
About	1,000 km of roads to be blacktopped
	275 bridges to be constructed
Abolishment of excise duty on	360 items
Reduction of customs duties on	273 industrial raw materials
Increase of excise duties on	tobacco, alcohol products
Govt to encourage	startups
90 per cent of	Nepalis to be brought under health insurance
Free cancer treatment for	children in govt hospitals

Jumla to Phoksundo.

The budget announced to complete Butwal-Narayangadh and Mugling-Damauli-Pokhara sections of the East-West Highway expeditiously. "We will begin the international-level transformation of Siddhartha Highway and develop the origin area of the Kaligandaki civilisation into a 'Gandaki Quadrangle' focused on pilgrimage and clean enterprises and businesses," read the budget.

It announced to develop the 'Shaligram Path' by integrating Trivenidham, Devghat, Rurukshetra (Ridi), Kagbeni, Muktinath and Damodar Kunda.

Likewise, a 'Nirvana Path' based on the Lumbini-Muktinath religious and cultural route, integrating meditation, contemplation, yoga, Buddhist and Vedic philosophy, and the Himalayan cultural experiences of Manang, Mustang and Myagdi will be promoted. The government aims to connect the Mid-Hill Highway with northern transit and trade destinations such as Olangchungola, Kimathanka, Tatopani, Rasuwagadhi, Korala and Hilsa.

It also plans for the Koshi Corridor, that will cover the area from Koshi Tappu to Kanchenjunga, focusing on biodiversity conservation and clean energy development.

In the far-west region, plans are announced for the development of a distinctive 'touristic quadrangle', encompassing Ramaroshan, Khaptad, Badimalika, Shaileshwari, Ugratara and Mallikarjun.

BUDGET OUTLINES TAX AND POLICY REFORMS TO REIGNITE ECONOMY

BY A STAFF REPORTER
Kathmandu, May 29

The government has unveiled an ambitious budget for the fiscal year 2026/27, promising sweeping tax reforms, institutional restructuring, investment-friendly policies and major technological initiatives aimed at revitalising the economy and expanding the middle class.

Presenting the budget in a joint session of Parliament on Friday, Finance Minister Dr. Swarnim Wagle announced a broad review of tax rates to ease the burden on businesses and ordinary individuals.

Tax reform

The income tax exemption threshold for individuals has been doubled to Rs. 1 million, while the maximum personal income tax rate has been reduced by 10 percentage points.

In a bid to lower industrial production costs, customs duties on 273 types of industrial raw materials have been reduced to ensure they remain at least one level lower than finished products. The existing 11-tier customs structure has also been streamlined into seven levels.

The government has announced to scrap excise duties on 360 items and integrated scattered levies collected at customs points, including infrastructure development tax and road maintenance fees, into a unified "green tax."

"I have made arrangements so that the capital gains tax levied on the sale of securities of listed companies will be treated as final tax," said the Finance Minister.

To promote digital transactions, consumers making purchases through digital payment platforms will receive a 10 per cent refund on value-added tax (VAT) at the time of invoice issuance.

The VAT refund system will be automated, while lottery-style programmes will be introduced to encourage receiving invoice culture.

"We will form a high-level advisory committee to study the relevance of multiple rates in Value Added Tax and submit suggestions. We have adopted a policy of making tax compliance a companion of development, not a punishment. I have brought a special plan related to tax exemptions and concessions to create a business environment by resolving tax disputes that have persisted for a long time due to legal ambiguity and taxpayer ignorance," said Dr. Wagle.

»» SEE PAGE 6

Increase in excise duty on cigarettes, alcohol

BY LAXMAN KAFLE
Kathmandu, May 29

The government has increased excise duties on cigarettes, alcohol and beer through the budget for the upcoming fiscal year.

Presenting the budget for fiscal year 2026/27 in Parliament on Friday, Finance Minister Dr. Swarnim Wagle announced an increase of around 10 per cent in excise duty on cigarettes.

The government has also announced plans to introduce an umbrella law to make the mobilisation of non-tax revenue more effective, according to the Finance Minister.

The government has announced a concessional value added tax (VAT) on electricity consumption exceeding 50 units per month sold to final consumers.

The government has also revised customs duty on electric vehicles

(EVs), replacing the existing pick-power capacity-based system with a value-based mechanism.

In addition, a clean infrastructure investment fee will be imposed at import points to support domestic EV production, the construction of charging stations, and battery management systems.

To promote the export of Nepali branded alcoholic beverages, the government would encourage the production of quality spirit and maturation processes.

From the next fiscal year, micro-breweries will also be registered as liquor industries and brought within the excise duty framework, the government announced.

"We will mandatorily integrate all businesses with an annual turnover exceeding Rs. 100 million and issuing electronic invoices into the Central Invoice Monitoring System. Small businesses will be encouraged to accept payments through electronic means," said the budget.

»» SEE PAGE 6

Private sector upbeat, opposition wary about budget

BY A STAFF REPORTER
Kathmandu, May 29

The budget for the fiscal year 2026/27 has drawn mixed reaction from politicians, economists and business persons.

The private sector is upbeat about annual fiscal outlay, citing that it has given emphasis to good governance and transparency, which is essential to give momentum to the national economy. However, opposition parties are critical of the budget. They argue that it has neglected the marginalised and poor communities while benefiting the middle class.

Former Finance Minister and Member of Parliament Barshaman Pun has said that the government has presented the budget for the fiscal year 2026/027, targeting the middle-class people.

He also commented that the budget has neglected the poor and marginalized people. Claiming that the budget is unnatural, Pun said that it is distributary and faces challenge to manage the



Barshaman Pun



Mahesh Bartaula



Dr. Chandra Mani Adhikari



Kamlesh Kumar Agrawal

financial sources.

Pun, a leader of Nepali Communist Party, however appreciated the budget for the continuation of previous programmes.

"The continuation of previous programmes, such as the one province-one production initiative, is commendable. Additionally, the salary increase for civil servants after four years is a positive aspect of the budget," Pun said.

Similarly, young leader of CPN-UML, Mahesh Bartaula, commented

that although the budget addresses all citizens, it misleads through the idea of populism.

A former whip of the UML, Bartaula stated that there is no hope or expectation regarding this budget. Bartaula also commented the budget has failed to emphasize capital mobilization, production and job creation.

"At first glance, the budget appears impressive; however, all projections are based on populist ideas. It does not guarantee any investment. There is no hope for this budget," Bartaula said.

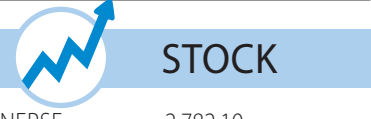
He also claimed that the budget is ambitious, unreal, and doesn't address people's expectations. Despite these problems, the salary increase of civil servants, including some other aspects, is appreciable, said Bartaula.

President of the Nepal Chamber of Commerce, Kamlesh Kumar Agrawal, has said that the budget provisions have raised hopes in the private sector, as they are expected to accelerate economic activities and boost investment.

»» SEE PAGE 6



Hallmark Gold : Rs. 249,145/-
Worked Gold : NA
Silver : Rs. 4,321/-



NEPSE : 2,782.10
Total Amount : 6,030,064,840.96

No. of Share : 15,249,712

GOODS, SERVICES WORTH RS. 88.22 BILLION EXPORTED

RSS
Birgunj, May 29

Goods and services worth amounting to Rs 88.22 billion were exported via Birgunj checkpoint in the first 10 months of the current fiscal year.

Public Information Officer at Birgunj Customs Office, Udaya Singh Bishta, told RSS that goods and services worth Rs 83.25 billion were exported during the corresponding period in the last fiscal year.

Refined soybean oil worth Rs 48.11 billion, refined sunflower oil worth Rs 5.35 billion and fruit juice worth Rs 6.42 billion were exported during the period. Similarly, clothes worth Rs 3.03 billion and synthetic yarn worth Rs 2.25 billion were also exported via the check point.

NUMBER OF COOPERATIVES REACHES 32,375

RSS
Kathmandu, May 29

The Economic Survey of the fiscal year 2082/83 has stated that the number of cooperatives registered across the country as of mid-March 2026 reached 32,325.

In the cooperative sector, savings amounting to Rs 102.57 billion have been mobilised, while 82,216 people have received direct employment, stated the Economic Survey unveiled by the Ministry of Finance.

A total of 19,903 cooperatives have been affiliated with the Cooperative and Poverty-related Management Information System (COPOMIS), developed for integrated cooperative statistics, up to mid-March 2026. As of mid-July 2024, 18,897 cooperatives were affiliated with COPOMIS, the Survey stated.

The National Cooperative Regulatory Authority has regulated Nepal's cooperative sector and issued operating licences to 834 cooperative organizations.

The federal government had declared 23 cooperatives among them as problematic and liquidated three. Remaining 20 cooperatives are yet to manage assets and settle liabilities.

Farmers attracted to soft-shell walnut farming

BY SHER BAHADUR SHARKI
Bajura, May 29

Farmers in the eastern parts of Bajura district have recently shown growing interest in soft-shell walnut farming.

The increasing attraction towards walnut cultivation comes after soft-shell walnut saplings distributed for trial purposes by various governmental and non-governmental organisations showed promising growth and production potential.

Datta BK, a resident of Budhinanda Municipality Ward No. 7, said an organisation had distributed a few soft-shell walnut saplings in the village for testing purposes a few years ago. "It has been two to three years since we planted the saplings and now the trees have grown well and started bearing fruit," he said.

"People here were not very aware that soft-shell walnuts could grow in this area. Many farmers planted a few saplings for testing, and now the trees are growing very well," he added.

BK said farmers have started seeing walnut farming as a reliable source of income after witnessing

14 farmers honoured with outstanding award

BY A STAFF REPORTER
Kathmandu, May 29

The government has honoured 14 farmers from different parts of the country with the National Outstanding Farmers Award on Friday in recognition of their contribution and excellent performance in the agricultural sector.

The Ministry of Agriculture, Forests and Environment selected the awardees from across the nation and honoured them at a special function held at the Office of the President, Sheetal Niwas.

President Ramchandra Paudel presented the awards to the selected farmers amid the programme.

Each awardee received a cash prize of Rs. 200,000 along with a certificate of recognition.

While honouring the farmers, President Paudel said that the state should prioritise recognising farmers, stressing that the country's prosperity is closely tied to their progress.

He said that the happiness of the nation lies in the smiles of farmers and that the prosperity of the country is linked to their advancement.

"In the changing context, the state itself must prioritise honouring farmers," he said, adding that agriculture remains the foundation of the country's



PHOTO: TRN

President Ramchandra Paudel with 14 outstanding farmers after the honouring ceremony on Friday.

prosperity and farmers are the "ornaments of the nation."

President Paudel emphasised that agriculture should not only be viewed as a means of livelihood but also as a major pillar of nation-building.

He said a culture of labour and respect for hard work must be developed, noting that the dedication, sweat and perseverance of farmers have

played a crucial role in making the country's economy dynamic.

He underscored the need for coordinated efforts among the state, private sector and stakeholders to boost investment in agriculture, technology, marketing and youth participation.

"With the energy of youth, the use of modern technology and the state's visionary policies, the agricultural

sector must be transformed into a key foundation of production, employment and prosperity," he said.

On the occasion, President Paudel honoured 14 farmers from different parts of the country with the National Outstanding Farmers Award, which carries a cash prize of Rs. 200,000 each along with certificates of recognition. "I believe the dream of nation-building

can only be realised if agriculture is developed into a respected, commercial and self-reliant sector," he said.

Stating that economic prosperity is the country's key priority following political transformation, President Paudel identified agriculture, water resources, tourism, infrastructure, information technology and industrial development as the foundations of national progress.

He also highlighted agriculture's potential to create employment opportunities for youths within the country and serve as a source of raw materials for industries, urging the state to introduce planned policies and programmes for the sector's development.

President Paudel further stressed the need to prioritise agricultural enterprises and youth-focused entrepreneurship programmes.

He called on the government, policymakers and stakeholders to address challenges facing the agricultural sector to meet the targets of the 16th Plan and move the country towards prosperity.

"To ensure investment, there is a need for agricultural loans at affordable interest rates," he said, adding that special programmes should focus on increasing production and employment, reducing imports and boosting exports.

DOMESTIC TOURISTS FLOCK TO MUSTANG

BY A STAFF REPORTER
Muktinath, May 29

Taking advantage of the four-day-long public holiday, a large influx of domestic tourists has been visiting Mustang.

More than 7,500 have entered Mustang in a single day via the Beni-Jomsom-Korala road.

The District Police Office, Mustang, has stated that 7,827 Nepali tourists entered Mustang by road on Thursday alone to celebrate the holiday from Thursday to next Sunday.

Santosh Basyal, Information Officer at the District Police Office, Mustang, said that 4,723 men and 3,144 women entered the vehicle from Police Post Ghansa on Monday.

Police Inspector Basyal said, "There is a rush of people visiting Mustang during the holidays. There is a lot of pressure during long holidays." The arrival of domestic tourists has filled Mustang's small and big hotels.

The police have also requested to take necessary precautions, including patrolling the road section with the expectation of a large number of tourists entering on Thursday, Friday and Saturday.

Since domestic tourists entering Mustang reach from Ghansa to Korala, the Chinese border, an awareness campaign has also been launched, keeping in mind the problem of tourists going to the upper areas getting sick.

Raju Lalchan, President of the Mustang Chamber of Commerce and Industry, said that the shortest stay of domestic tourists in Mustang is two days and the longest is four days.

Chairman Lalchan said, "After the addition of the public holiday, the number of tourists has increased dramatically, but tourists are also suffering due to adverse weather conditions."

Due to floods and landslides, one-way traffic on the Myagdi section of the Beni-Jomsom-Korala road has been causing long-term traffic jams.



PHOTO: ANIL PARAJULI/TRN

The concrete bridge under construction over the Mahalaxmi River in Indrasarowar is in its final phase.

BY ANIL PARAJULI
Hetauda, May 29

The Hetauda-Kulekhani-Phakel-Pharping road section, a shorter alternative route connecting Hetauda to the federal capital, Kathmandu, has been closed to vehicular movement for one month.

The road section, which provides a shorter route to Kathmandu, has been completely shut to traffic since Friday, May 29.

The road has been closed following a request from the Infrastructure Development Office, Hetauda, under the Bagmati provincial government, to the District Administration Office, Makwanpur, to facilitate construction work.

According to Sujan Bhandari, chief of the Infrastructure Development Office,

Makwanpur, the road was closed as the construction of a concrete bridge over the Mahalaxmi River at Indrasarowar Rural Municipality-2 is underway, while road concreting work on the same section is set to begin from Friday.

He said the road closure was necessary due to pressure to complete the project by mid-July this year, and as heavy traffic on the route could disrupt construction work and cause inconvenience to travellers due to congestion.

Passengers and vehicle owners have been requested to use the Hebi-Sisneri-Dakshinkali-Pharping road section as an alternative route.

According to Bachhuram Phuyal, Police Inspector at the District Traffic Police Office, Makwanpur, around 1,300 vehicles travel daily via the shorter alternative Hetauda-Kathmandu route.



the strong possibility of successful production in the area.

Residents of Himalayan, Jagannath, Swamikartik Khapar and Budhinanda local levels have also become increasingly interested in walnut farming in recent years. Farmers say the land in these areas is highly suitable for walnut cultivation.

Local hard-shell walnut varieties have traditionally grown well in the region, including in nearby forests.

However, soft-shell walnut cultivation had not previously been tested in the district, and people knew little about it.

Walnut trees are large and strong, with an average lifespan of around 200 years. A mature walnut tree can produce between 100 and 200 kilograms of walnuts annually.

Farmers said the soft-shell variety is considered superior because its outer shell is softer

and can easily be cracked open by hand or even with teeth.

Govt targets addition of 1,040 MW to national grid in coming fiscal year



BY A STAFF REPORTER
Kathmandu, May 29

The government has projected adding 1,040 megawatts of electricity to the national transmission system in the upcoming fiscal year, including 670 MW from hydropower projects and 370 MW from solar energy.

With this expansion, the country's total installed capacity is expected to reach 5,535 MW.

Presenting the budget for the next fiscal year 2026/27 at the joint session of the Parliament on Friday, Finance Minister Dr. Swarnim Wangle said that the government plans to complete construction of the 40 MW Rahughat Hydropower Project within the current fiscal year.

The government has allocated budget of Rs. 85.54 billion for electricity generation, transmission, and distribution infrastructure.

It also aims to accelerate ongoing works on major projects including the Tanahun Reservoir-based Hydropower Project, Upper Modi A, Upper Modi, Upper Trishuli-3B, and Budhiganga hydropower projects.

For large-scale hydropower development, financial arrangements and bidding processes will be initiated for several key projects, including the 1,061 MW Upper Arun, 828 MW Uttara Ganga, 210 MW Chainpur Seti, 99 MW Tamakoshi-5, and 77 MW Ghunsa Khola hydropower projects.

The budget proposed to advance the study for projects such as the 417 MW Nalgadh, 490 MW Arun-4, and 281 MW Naumure projects.

Similarly, construction bidding will be initiated for the 439 MW Betan Karnali Hydropower Project, which will involve investment participation from Employees Provident Fund contributors.

"We will proceed with the construction of the 1,200 MW Budhi Gandaki reservoir-based project under the empowered Authority model. We will complete the financial closure of the 670 MW Dudhkoshi reservoir-based project and begin the contracting process," said Finance Minister Dr. Wangle.

The government said that it will provide necessary facilitation to develop projects with a capacity of about 3,000 MW, including the 900 MW Arun III and the 669 MW Lower Arun, whose construction work has progressed through the Investment Board Nepal. For transmission infrastructure, Rs. 70 billion has been allocated to

complete ongoing transmission lines and substations.

The Hetauda-Dhalkebar-Inaruwa 400 kV transmission line is expected to be completed within the current fiscal year.

The construction of new 400 kV lines, including Khimti-Barhabise-Kathmandu and Hetauda-Ratamate-Lapsipedi-New Damauli-New Butwal corridors, will be expedited.

Cross-border transmission projects such as Butwal-Gorakhpur, Inaruwa-Purnia, Dhalkebar-Muzaffarpur-Sitamarhi, Lamki-Dododhara-Bareilly, Lamahi-Lucknow, Nijgadh-Motihari, and Chhillime Hub-Kerung will also move forward.

The government will accelerate the Karnali corridor national transmission line and expand electrification in Karnali Province's off-grid local levels.

In new energy initiatives, a 2.5 MW green hydrogen pilot plant will be implemented in Hetauda for commercial production, while a 100 MW battery energy storage system will be introduced in Kathmandu Valley to address peak-hour electricity shortages.

The budget has made a provision to issue green energy bonds and diaspora bonds for the development of hydropower project.

The private sector will be encouraged to invest in large-scale and reservoir-based hydropower projects.

Reservoir-based projects that secure 100 per cent investment financing will be allowed to issue up to 40 per cent of their IPO in the first year itself.

According to the budget, the long-pending restructuring of the Nepal Electricity Authority will be completed.

The authority will be divided into three separate companies responsible for electricity generation, transmission and distribution, and power trading.

"Licenses of power projects that have signed power purchase agreements (PPAs) but have failed to begin construction will be revoked, and arrangements will be made to sign new PPAs under the "take-or-pay" model," said Dr. Wangle.

The power purchase agreements for electricity projects with a capacity of less than 10 megawatts will be approved immediately.

Provisions will also be introduced to determine electricity purchase rates through competitive reduction during the dry season and sign procurement agreements accordingly.

SAGARMATHA DAY MARKED

RSS
Kathmandu, May 29

The International Sagarmatha (Mt. Everest) Day is being celebrated today with different programmes.

This day is marked on May 29 every year to commemorate the first ascent to Mt. Sagarmatha by New Zealand's Edmund Hilary and Nepal's Tenzing Norge Sherpa.

The world's tallest peak is a symbol of Nepal's national pride, tourism development and international identity. Different government organizations, tourism entrepreneurs, mountaineering agencies and local levels have organized programmes on mountain tourism, safe tourism, environment conservation and related issues.

The stakeholders have called for providing top priority to conservation measures of mountains as the impacts of climate change have been visible in recent years. For Nepal, mountain tourism is a major basis for the economy, employment generation and foreign exchange income.

31 GOVT BODIES TO BE SCRAPPED

RSS
Kathmandu, May 29

Finance Minister Dr Swarnim Wagle is presenting budget speech in the joint meeting of the federal parliaments. Breaking the tradition of enclosing budget document in a briefcase, Dr Wagle appeared in the parliament with a Nepali paper-made notebook containing the budget document.

He informed that government would ensure automated increase of salary to civil servants and security officials. As per the budget speech, 31 government bodies would be scrapped and 18 others restructured.

"A convincing atmosphere will be created for improving sovereign credit rating of Nepal," he said, adding that a 'matribhumi kosh' (motherland fund) would be set up for establishing an AI factory.

Importantly, sun set laws would be in place to give a pace to development works. He expressed commitment to lift country out of grey list. Other schemes he shared are green energy bond, launch of lottery schemes to encourage practice of invoices in transaction. The government, as the Minister shared, would scrap 360 sorts of excise duties.

Damodar Kunda welcomes pilgrims



PHOTO: HARI KRISHNA SHARMA/ TRN
Damodar Kunda is located in Ward No. 4 of Lo-Ghekar Damodarkunda Rural Municipality of Upper Mustang.

BY HARI KRISHNA SHARMA
Muktinath, May 29

Damodar Kunda, a holy pilgrimage site for Hindus and Buddhists, has now opened to visitors, welcoming pilgrims and tourists alike.

Damodar Kunda, located at an altitude of 4,890 meters above sea level in Ward No. 4 of Lo-Ghekar Damodarkunda Rural Municipality in Upper Mustang, has been opened for travel with personal food arrangements.

Jhayang Chhesa Gurung, Ward Chairman, said that the roads leading to the pond have been repaired and opened for the convenience of devotees and tourists.

Ward Chairman Gurung said, "Now the pressure of religious tourists will

Kathmandu Traffic tests AI traffic system

BY PURUSHOTTAM P. KHATRI
Kathmandu, May 29

In a significant shift towards digital governance and smart urban management, the Kathmandu Valley has begun trialing a 'faceless traffic management system' that will gradually reduce the need for traffic police officers to be physically present on the roads.

The initiative, aimed at making traffic enforcement more efficient, transparent, and technology-driven, has been introduced on a pilot basis in the Thapathali area of the capital.

The new system represents one of the most ambitious upgrades to Nepal's traffic monitoring framework in recent years.

Under this model, enforcement will rely heavily on artificial intelligence (AI), high-definition CCTV surveillance, and smart traffic signal systems, rather than traditional on-street policing. Authorities say the objective is to modernise traffic regulation while reducing human intervention in routine monitoring and enforcement.

According to officials, the system is designed to continuously observe road activity through a network of advanced cameras installed at key intersections. These cameras will not only record traffic movement but will also analyse behaviour in real time. The AI-powered system will automatically detect traffic rule breaches.

In the traditional setup, traffic police officers would physically stop vehicles, assess violations, and issue fines on the spot. However, under the



new arrangement, all monitoring and enforcement actions will be centralised

at a dedicated control room. Once a violation is verified through the system, an

electronic challan (e-ticket) will be generated automatically and linked to the vehicle's registration details.

The fine notice will then be sent directly to the registered owner via digital means, effectively eliminating the need for face-to-face interaction between motorists and enforcement officers for routine violations. Officials believe this will significantly reduce delays in enforcement, improve transparency, and minimise disputes or irregularities during roadside checks.

Naresh Raj Subedi, Spokesperson and Superintendent of Police for the Kathmandu Valley Traffic Police Office, said that the system is currently in its experimental phase and will be gradually expanded to other high-traffic and sensitive areas within the valley.

Locations such as New Baneshwar and Maitighar—both known for heavy congestion and complex traffic flow—are expected to be included in the next phase of implementation.

SP Subedi added that the pilot project is being closely monitored to assess its effectiveness in real-world conditions, including its accuracy in detecting violations and its impact on overall traffic discipline.

Authorities have highlighted that one of the key motivations behind the initiative is to reduce congestion on busy roads. By minimising the need for vehicles to be stopped for manual checks, traffic flow is expected to become smoother and more continuous. Officials also anticipate a reduction in on-road disputes between drivers and enforcement personnel, which often arise during direct interventions.

Another important goal of the

system is to curb unethical practices, including bribery and informal settlements, by removing human discretion from routine enforcement processes, according to Traffic Police Chief Navaraj Adhikari. With automated detection and centralised processing, officials believe the system will help create a more accountable and consistent enforcement mechanism.

The introduction of this technology-based system also signals a broader shift in how urban traffic management is expected to evolve in Kathmandu. Authorities have indicated that, in the future, integration with digital databases will play an increasingly important role. Vehicle owners may be required to regularly update their registration details, mobile numbers, and contact information to ensure timely receipt of e-ticket notifications and related communications.

Officials have warned that failure to maintain accurate records could lead to delays or difficulties in receiving fine notifications, which may result in additional complications for vehicle owners.

While the system is still in its early stages, it is already being viewed as a landmark step towards building a smarter and more disciplined traffic environment in the capital. If successful, it could pave the way for wider adoption across other cities in Nepal, fundamentally changing how traffic regulation is enforced in the country.

For now, Kathmandu's roads are entering a transitional phase, one where the familiar sight of roadside traffic police may gradually give way to an invisible but ever-watchful digital enforcement system.

Two found dead in Baitadi and Tanahun

BY OUR CORRESPONDENTS
Baitadi, Tanahun, May 29

A man has been found dead in the Purchaudi Municipality of Baitadi. According to the District Police Office, Baitadi, the body of around 55-year-old Hari Saun, a resident of Salleri in Purchaudi-5, was found at Mirrad Bhir in Dhaunali, Purchaudi-8.

Police spokesperson Inspector Suraj Singh said Saun was found dead at around 5:15 pm on Thursday.

Following the report, a police team led by Inspector Indraraj Bhatt from the Area Police Office, Patan, was deployed to the scene. Further investigation into the incident is underway, the District Police Office, Baitadi, said.

Meanwhile, a newborn baby was found buried in a pit in Tanahun. Police have taken into custody 37-year-old Maina Thapa, who has been accused of digging

a pit in a kitchen garden and burying her 31-day-old daughter, Prinsika Thapa, in a rented room in Siddharth Tole, Shuklagandaki Municipality-3.

The infant was discovered by her father, Gopal Thapa, who immediately rescued her and took her to Tanahun Sewa Hospital in Dulegaunda for treatment. Doctors pronounced the baby dead upon arrival, according to Superintendent of Police (SP) Tek Bahadur Karki, chief of the District Police Office, Tanahun.

Police said the incident took place at around 5:35 pm on Thursday. Following information from the hospital, a police team from the Area Police Office, Belchautara, reached both the incident site and the hospital.

Police have detained Maina Thapa, originally from Putalibazar Municipality of Syangja and currently residing in Tanahun, and further investigation is underway. The body of the infant has been kept at Tanahun Sewa Hospital.

Nepal to become destination for 'wellness tourism'

RSS
Kathmandu, May 29

The government is going to promote Nepal as a destination for 'wellness tourism' in the international tourism market.

Presenting the annual estimates (budget) of revenue and expenditure for the fiscal year 2026/27 in the joint house of the federal parliament Frday, Finance Minister Dr Swarnim Wagle said that the government has given high priority to the development of the tourism sector.

Accordingly, financial incentives will be given for the construction of luxury resorts and hotels to promote



tourism. He also mentioned that the Civil Aviation Authority of Nepal will be restructured within mid-January next year to improve Nepal's position in the European Union's aviation safety list.

Financial incentives will be given for the construction of luxury resorts and hotels to promote tourism.

The CAAN will be divided into separate regulatory and licensing bodies. The Finance Minister said that the Lumbini-Muktinath religious road, Shaligram road and meditation/yoga center will be developed.

He mentioned that the government has set a goal to integrate yoga, meditation, spiritual practices as well as Buddhist and Vedic philosophy. This will help introduce the Himalayan cultural experience to the world.



हिमालय एअरलाइन्स
HIMALAYA AIRLINES

CAREER OPPORTUNITY

Himalaya Airlines' network presently consists of Doha, Dammam, Riyadh, Dubai, Dhaka, Kuala Lumpur, Kuwait & China sectors. Interested candidates are requested to send in applications for the following posts not later than 17:00 hrs on June 13, 2026, Saturday.

First date of publication : May 30, 2026

DEPARTMENT : COMMERCIAL, IT & GROUND OPERATIONS

IT Supervisor

Vacancy Code : H9/CITGO/0032026

Required No. : 01

Duties and Responsibilities:

- Leverage technology to optimize processes, analyze data, and support decision-making to drive revenue growth and operational excellence
- Contribute to strategic planning efforts by providing insights into emerging technologies and IT trends that could impact sales, revenue, and analysis functions
- Directly communicate and coordinate with China IT team and vendors for evaluating and recommending IT solutions and innovations that have the potential to enhance operational efficiency, revenue generation, and customer experience
- Optimize IT infrastructure and resources to support the scalability and performance requirements of sales and revenue processes
- Project management
- Technical Support
- Systems Analyst
- Software/ Hardware Tester

Qualification Requirements:

- Must have a bachelor's degree in related field
- Proficient in Chinese speaking and writing
- At least 10 years' experience in a related field with minimum of 5 years' experience in International Airlines

DEPARTMENT : FLIGHT OPERATIONS CONTROL & SUPPORT

Operation Standards Supervisor

Vacancy Code : H9/FOCS/0022026

Required No. : 01

Duties and Responsibilities:

- Manage airbus world accounts for flight operations
- Maintain airbus Manuals: FCOM/QRH/AFM both in the aircraft and in the library
- Maintain all controlled company manuals
- Set up EFB systems of the company
- Write the EFB manual
- Overall management of EFB systems
- Coordinate with all departments concerned for EFB operations
- Train the users according to syllabus
- Overall coordination of New Sector Procedure implementations
- Overall coordination of additional operations types
- Coordinate with the Chinese parent company in regard to OSD policy and guidelines
- Coordinate with Chinese authorities regarding operation standards compliance matters

Qualification Requirements:

- Must be a bachelor's degree holder from a reputed university
- Good communication skills (written and spoken) both in English and Chinese
- Should have at least 3 years or more experience in an Airlines

Operation Control Manager

Vacancy Code : H9/FOCS/0032026

Required No. : 01

Duties and Responsibilities:

- 1. Crew Scheduling and Control**
 - Crew planning, scheduling & control
 - Calculation of crew flight duty time limitation and rest period
 - Crew qualifications and proficiency record
 - Crew leave planning
 - Workforce requirement analysis according to operations demand
- 2. Flight Dispatch**
 - Flight planning, Dispatch and Operations control
 - Preparation of Operational Flight Plan documentation
 - Maintaining Navigation Data, Charts, Maps and Route Manuals
 - Maintaining ICAO Annexes / CAAN Regulations / Company Manuals
 - Maintaining System Control Software Data /Documents
 - Coordinating with various department during Delay/Disruption
 - Flight watch / Flight monitoring during flight operation

Qualification Requirements:

- Minimum work experience of 15 years
- Minimum 10 years of experience as a dispatcher in International Airlines
- Must have FOO/ Flight Dispatcher license
- Bachelors in Air Traffic Control System or relevant

Please fill-up the form & upload your updated resume, a copy of pp size photo, scanned copy (ies) of your qualifications & copy of citizenship etc. using the links: <https://forms.gle/zZ2M48rdLMFiP7SB9> not later than 15 days from the date of publication. Only shortlisted candidates will be contacted. Phone calls will not be entertained.

National Vitality: Bedrock Of Modern Progress

Dev
Raj Dahal



Ideally, national vitality is the core strength of the state's institutions' effective, cohesive, purposeful action. Such vitality is central to steering the nation-state in a direction of a stable and progressive future. With high vitality, a nation can attain enough institutional muscle and leadership capabilities to keep and progress. It can overcome any crises plaguing it - be it ecological, social, economic, political or foreign policy. National vitality depends on a balance of intergenerational, social and gender justice where tradition meets the condition of technology-driven modernity and knowledge is refined by the wisdom of historical and cultural experience.

As an elan vital, the vital life- force of society, it allows the nation to adapt to changing geopolitical circumstances, builds self-defense and wards off threats of any kind. Statespersons, mellowed by varied experiences of life and time, help to stabilise the emotional exuberance of chrysalis years of adult people while the wealthy contribute to social development so that people are not coerced to accept blunt materialism (both market and dialectic) against Nepal's spiritual evolution, ethnic, or geopolitical determinism, saddened by unnatural death or cultivating the fawning mind-set to any hegemon for the blessing to regime reviled by enlightened national and global audience.

Unifying forces

The wild growth of pre-modern powerful sects in Nepal and the boom of modern partial associations flag the national vitality to cope with the malaises of society, cultivate health and wellbeing of people and shore up a beautiful social mosaic for nation building. Their socialisation, mobilisation and

constitutionalisation are vital steps to promote unifying forces of society essential to build this nation and advance overall sustainable progress. This means acculturation of Nepalis to the ethos of national values, culture and views is vital to make life cohesive, stable and predictable. It is also important to bridge the gender and social gaps in all aspects of national life so that both can reap equal opportunities and dynamise the life of society along multiple modernities where the stronger elements can uplift the weaker ones and create their stake in the national polity.

The self-definition of Nepalis as rational beings seeks to nullify their irrational behaviour. The remarkable trends unfolding at the systemic level compel a rethinking of national interests and a shift of politics from social and political differentiation to national unity and revitalisation compatible with the aspirations, beliefs and desires of Nepalis.

Opportunity of vertical geography: Nepal's vertical geography and topographical diversity have offered the people both assets to defend the nation's survival, preserve resources to diversify production and trade, refine settlement patterns through engineering feats and cherish multi-cultural fusion. Rich landscape and artistic layers for habitat and cultivation of food and fodder are a source of national power. But it has also set barriers to circulation, communication and transportation development. The emerging technological development, digitalisation and connectivity are expected to transcend the psychology of claustrophobia, landlockedness and unbalancing complex geopolitical determinism of its progress. Leverage of Nepal's strategic geography lists not just locational advantage but also other factors such as trade, Gorkha recruitment, diaspora, business, family and cultural connection and labor migration.

With astute leadership skills and diplomacy, Nepal can renew national vitality in statecraft and historical wisdom of statesmanship and settle the multitude of issues locking both neighbours, India and China in a security dilemma and

With astute leadership skills and diplomacy, Nepal can renew national vitality in statecraft and historical wisdom of statesmanship and settle the multitude of issues.

cognitive cringe to see a wider multi-polar world. Those howling against Prime Minister Balendra Shah's preoccupation with national priorities are forgetful of the drab result of globe-tottering show and self-accountability. The practice of its native philosophy of Panchsheel and non-alignment marks a paradigm shift from earning sympathy for regime change to cultivating national dignity and pride in independence. Shah's government has reclaimed the state as a national instrument of security, survival, progress and identity and seeks to utilise the constitution as a vision of national unity. It can sedate the centrifugal forces acting along geopolitical lines and silence the jarring voices of deep state for leadership change.

To be sure, national vitality can spring from the institutional muscle of constitutional and public interest bodies in their impersonal performance, not policy and institution capture by a select group of elites aiming to dent good social relationships and weaken the effectiveness of governance in goal attainment. The government is, therefore, seeking to create institutional integrity, transform the existing political culture and create a modern political order where the rulers are accountable for their actions beyond the domination of the balance of power of rival political parties or their collusion without any sanity or creative policy option. The purpose of the government to reclaim the state is to use it, like East Asian nations, for a government that delivers and exercises authority that is territorial, not client-based, regime-oriented, or globalized.

Freedom of will: National vitality provides a condition of free will for Nepali

people and the nation, enabling both to act with conscious choice uninhibited by circumstances, tradition, treaties or the condescending attitude of outsiders. Free will is the hallmark of national and popular sovereignty entrenched in the Nepali constitution and international recognition. Democracy aims to expand the domain of freedom and reasonable and timely change. But in Nepal, those weary of change and its consequences are planning to hit the streets and create a condition of political instability which is inimical to progress. The corruption of public offices for long hobbled the national integrity system of governance and eroded the moral fibres of Nepali society. This fibre is highly important to glue them to the public interests and beef up the supply side of public goods. This demands rescuing democracy and the welfare state from the neoliberal and comprador classes who appropriated public resources for private gain and eased the flow of poor to international job markets expecting hopping remittances.

Economic strength: Economy cannot grow without proper mixing of land, labour, capital and technology and preservation of the environment. Production must catch up with the scale of consumption with improved technologies, entrepreneurship, a capable workforce and quality institutions to enhance productivity, alleviate poverty, generate employment and retain the youths within the nation for economic dynamism, innovation and change. The topographical diversity of Nepal offers diverse resource endowment-hydro power, strategic commodities, production and diversification potential and cultural and historical sites for tourist attraction. They promote shared national identity and spread the soft power of culture to brace the vitality of this nation. The only question is how democracy, as national ideology, can be utilized for nation building.

Yet the earlier policy of structural adjustment constrained Nepal's choice of policy based on manufacturing and drifted to what Adam Smith calls "unproductive service sectors," relying largely

on imported goods, private sectors, financial capitalism and IT. Even Joseph Schumpeter placed entrepreneurs and innovators for economic growth. Douglas North stressed the quality of institutions and rule of law as keystones of progress. They shape incentive structures for production and export and the rise of national vitality relative to individual profits that fuel national vulnerability, social and economic polarisation, and erosion of trust in governance.

To enhance the national image, the nation has to control cooperative irregularities, ease graduation to developing nations and remove the tag of grey zone and black list to its air safety.

National progress cannot be engineered by foreign aid and investment alone but by the will of the people, leadership, culture, resources and institutions. The state holds authority within its sovereign boundaries and has the capacity to control deviant, alienated and obstreperous actors if it unshackles itself from debt, dependency and acute import.

Premature deagrarianisation and de-industrialisation hobbled its real economy, led to a decline in jobs and spiked excessive imports of food. The government failed to manage the tyranny of the political status quo maintained by a regime of syndicate and nihilism of anarchy and radicalism. Deep state, free riders and bichaulias have created a powerful network inside the political parties, business and state institutions and promoted a raft of interests to keep the constitutional and institutional status quo, distorted the operation of the market and tied media and civil society to its web of clientalisation.

Efficacy of public administration

The nation lost ingenuity and stamina to innovate and compete in the international market while the government failed to provide people an incentive to save, invest and earn to provide impetus to a big lift-off of prosperity. To overcome the risk of a patrimonial regime, the government's efforts to alleviate poverty, employment opportunities, health and education are essential, as these

elements are engines of social modernisation. The government's effort to bring the efficacy of public administration to act impartially in the supply of public goods is critical.

Social integration: In a heterogeneous nation of 125 ethnic and caste groups, 123 languages and over 150 distinct casts, national vitality can be harnessed through social cohesion and social discipline among the people and build their trust and cooperation at national scale. With the formation of a new government, youth bulge and timeless enlightenment values of Hindu-Buddhist and countless cults are gaining salience over universal ideologies. It is likely to turn soft power and national culture autonomous of academic fads and media socialisation. Preservation of nature, culture, art, museums, architecture, temples, monasteries, rituals and refined practices treasure memory and project national identity. Richness of the nation's cultural artifacts liberates people from parochialism and immerses them in global civilisation.

The hill traits of Nepal's martial culture and adventurous life, while the flat land of Tarai embodies fecundity of agriculture, industry, literature and philosophy, while the valleys of various places represent synthesis of both and help to forge civic virtues of unity in diversity. Educated intellectuals as an organic part of society must be able to hone sociability, civility and cultured life and act as the moral conscience of society. The government is struggling to restore the nation's glorious dignity by giving explicit expression of internal autonomy and external sovereignty. It is adding great enthusiasm for attitudinal and institutional change through a process of returning, amending and transforming national life and resetting external relationships to capture the spirit of equality of ties rather than succumbing to imperial or hegemonic clutch animus to national freedom of maneuver

(Former Reader at the Department of Political Science, TU, Dahal writes on political and social issues.)

Taxing Digital Economy

FADINDRA PRASAD ACHARYA

In the modern era, digitalisation and automation are generating significant amounts of income, profit and value in the business. Unlike traditional physical transactions, this digital ecosystem crosses national borders seamlessly and creates values collectively. This shift is largely driven by the automated flow of information, data, ideas and digital services across borders, collectively contributing to creating immense business values at an unprecedented level.

Consider the modern business landscape: a software engineer residing in Kathmandu works for a company situated in New York. A digital nomad travels across borders, while being employed by a company registered in Geneva. A digital tech-giants like Meta (Facebook) and Google, registered or headquartered in Silicon Valley, provide an uninterrupted automated digital service (ADS) to the billions of users, scattered across the globe. Even a content creator in Pokhara can receive Views, Likes, and Subscribers from around the world.

Many similar digital activities have contributed significant amounts of income and wealth to the global economy, and this trend is continuing to increase rapidly driven by the technological advancements in modern era. This is good news for the global economy where values are created without physical presence or personal travel, helping to generate shared prosperity. However, difficulty arises when it comes to allocating taxing rights among nations where such income is created, users are located and profit is generated. For example, what is the fair share of tax for Nepal on the income created in Nepal or the values added by its users residing in Nepal?

While businesses are interlinked digitally and values are created collectively, allocating taxing rights among various jurisdictions has been a constant headache for all nations. As the complexity of such digital transactions deepens, the challenge becomes more unsolvable to deal with.

Sharing the taxing rights has been more difficult in the context where a few digital tech-companies dominate the digital market, most of them registered in a single location such as Silicon Valley. The global tax framework

becomes more complex when countries unilaterally assert their taxing rights based on the traditional principles like sources- and residence-based taxation and if companies structure their arrangement to shift profits from higher to lower tax jurisdictions.

Various countries and multilateral institutions including OECD and United Nations are working globally to design fair, inclusive and transparent tax rules applied to such digital transactions. Their work largely focuses on achieving consensus among jurisdictions rather than going towards tax competition. However, such efforts suggest that consensus seems elusive. OECD and developed nations, where major digital tech-companies are registered or have their head-offices, propose to share only a tiny portion of residual taxing rights to the market jurisdiction keeping major tax rights under their domain. This proposal is included in the BEPS Pillar-One solution.

The United Nations on the other hand proposes alternative solutions to favour the developing countries. This proposal grants the primary taxing rights to the countries where digital services are used, the users are located and value is created. However, this solution also suffers from conceptual clarity such as quantification of such automated digital services, defining tax bases whether net profit or gross turnover and confusion surrounding on how to implement indirect tax such as VAT or sale tax in a digital space. Building consensus on such diverse issues is normally difficult under the United Nations umbrella among competing national revenue concerns and the underlying geo-economics in international tax cooperation.

Recogniuing the competing interests and gloomy prospect for unanimity, a good number of developing countries including Nepal and even some EU nations are no longer waiting for the global solution. They are instead implementing unilateral Digital Service Tax (DST) or similar withholding tax regime to assert their tax sovereignty on the economic value created within their jurisdictions in the digital space. While uniform consensus-based tax framework is fading, these individual approaches and tax competition remain the most probable path forward, leaving the digital tax architecture fragmented and uncertain.

Strategic Significance Of U.S.-China Summit

Dr Gnesh
Prasad
Khanal



illustrating the politeness of both parties. In addition, along with all the diplomatic discussions that went on, the general climate of the summit was observed by international media focusing on the behavior of the head of state - his body language and handshakes. Trump showed a quite calm demeanor, which led to a productive dialogue atmosphere.

The topics that were discussed included economic topics such as tariffs, trade consultation systems, market access issues and collaboration in several sectors such as agriculture and aircraft logistics. The topic of Taiwan was one of the most pressing in the US-China Summit. The Chinese side continued their position that Taiwan is their internal affair. Moreover, the leaders of both countries also spoke about international affairs such as the war in Ukraine and instability in the Middle East region, and positioned themselves as the key players in the management of the crisis.

AI governance

Furthermore, the issue of AI governance dominated the discussion in the US-China summit, where the issues related to the guardrails for AI, redlines for AI-based weapons, and information exchange about AI incidents were discussed. The other important issue during the summit was the negotiations concerning rare earth minerals. Considering that China dominates the global production and refining of the rare earth minerals, there were worries for the US regarding the limitations put

The US-China summit was indeed an instance of the delicate balancing act of competition and engagement.

by China on rare earth minerals. These limitations posed difficulties in terms of supply chains for the aerospace, chip, automotive, and defense industry companies. Therefore, rare earth mineral discussions played an important role for the US in the summit of 2026.

The summit had political significance as well as diplomatic significance in Nepal. The Chinese leaders gave Donald Trump a warm welcome, and he was appreciated for his diplomatic manner towards Xi Jinping. At times, he even addressed Xi Jinping with high regard, referring to him as a great leader of the world. In actuality, both parties agreed on the need to keep their communication channels open and solve any possible disputes smartly without entering into a conflict with each other. As the US decided to take a cautious approach towards China, China went its own way, developing and becoming strong by economic means. Therefore, in this particular case, the position adopted by the US in regard to negotiations with the leaders of the two states should not be considered a new US policy towards China but just a temporary one.

It is perceived by many people in Nepal that the discussion was a positive one, since healthy relations

between the US and China are perceived to be of great significance for small countries such as Nepal. The analysis by Nepali experts reveals that whenever there are fewer conflicts between two major countries, small countries can easily avoid the pressure on their foreign policy. It also means that healthy relations between the most influential countries in the world have a critical role to play in ensuring global peace and stability.

A peaceful international setting is extremely advantageous for small countries such as Nepal, which could benefit from this through development, trade, tourism, foreign investments, and regional cooperation. It is said that stability in the ties between the United States and China will result in an improved political atmosphere where Nepal can have increased cooperation with both sides at once. This will ensure that Nepal can pursue its efforts without the pressures that may arise between the two superpowers.

Here, good U.S.-China relations are not just a matter of diplomacy for the sake of international peace, but also a matter of direct relevance to the future of Nepal. It would be an exaggeration to refer to this as the "turning point" of diplomacy. Nevertheless, the US-China summit was indeed an instance of the delicate balancing act of competition and engagement. In general, the meeting was essentially an attempt by both parties to ensure continued stability in a turbulent world.

(Dr Khanal did his PhD in Economics

50 YEARS AGO

THE RISING NEPAL

May 30, 1976

Greatest Painter Of 'B'desh Dies

Dacca, May 29: Zainul Abedin, Bangladesh's greatest painter, died here today of lung cancer, aged 62, reports AFP

NOTICE TO CONTRIBUTORS

TRN welcomes articles, letters and comments from our valued readers and contributors. Please email your contributions to: trnfeatures@gmail.com trnfeatures@hotmail.com Or send them to P.O. Box 23, Kathmandu, Nepal

READER'S MAIL

Drought Hits Banana Farming

This refers to a news report 'Drought pushes banana farmers into crisis' published in the digital edition of this daily the other day. According to report, Banana farmers in the Tarai districts, including Bardiya district, are facing growing difficulties due to prolonged drought conditions. Banana plants are now shriveling for a lack of rainfall.



In summer, banana cultivation needs a large amount of water. During the months of July/August, banana plants receive enough rainwater but this year the farmers are staring at the prolonged drought that has negative impact in its production.

Some farmers are irrigating the banana field with electric pumps, it has not been enough to compensate

for the lack of rainfall. As a result of drought, the banana farmers are to incur a huge financial losses. They may need support from the relevant state bodies. Now the local government should extend economic compensation if they are able to do so.

Muna Lama
Jhapa

TAILPIECE

A man and his wife were sitting in the living room discussing a "Living Will"

"Just so you know, I never want to live in a vegetative state, dependent on some machine and fluids from a bottle. If that ever happens, just pull the plug."

His wife got up, unplugged the TV and threw out all the beer.

++

Mrs. Pete Monaghan came into the newsroom to pay for her husband's obituary. She was told by the kindly newsman that it was a dollar a word. Apologizing that she only had two dollars, she wrote this obituary: "Pete died."

"I remember ol' Pete, and he deserves more than two words," said the newsman. "I'll give you three more for free."

The widow thanked him and wrote, "Pete died. Boat for sale."

Russian drone attack alarms NATO

AFP
Galati, May 29

A Russian drone struck an apartment building in NATO-member Romania early Friday, wounding two people in the latest spillover from the war in Ukraine and prompting strong condemnation from the Atlantic alliance and the European Union.

Romania summoned the Russian ambassador and President Nicusor Dan convened a national defence council meeting to discuss "the most serious incident to have affected our national territory" since Russia invaded Ukraine in 2022.

The drone smashed into the apartment building in the city of Galati, close to the border with Ukraine, sparking a fire and sending a 14-year-old boy and a 53-year-old woman to hospital with serious injuries, officials said. Drone incursions in Romania have been detected dozens of times since the start of the Russian offensive against Ukraine in 2022, but the strike marked the first time a residential building has been hit.

EU chief Ursula von der Leyen said Russia's "war of aggression had crossed yet another line" with the strike. "We stand in full solidarity with Romania and its people," she said on social media, pledging to increase deterrence on the EU's Eastern border and "to keep increasing pressure on Russia".

NATO condemned Moscow's "recklessness" and vowed "absolute solidarity" with Romania, while France's Foreign Minister Jean-Noel Barrot slammed what he called "an irresponsible act". "Russia's reckless behaviour is a danger to us all," NATO chief Mark Rutte wrote on social media after a call with the Romanian president. "I affirmed that NATO stands ready to defend every inch of Allied territory," Rutte said

Maia Sandu, the president of Moldova, which lies between Romania and Ukraine and has also seen repeated drone incursions and debris falling on



The drone damaged Romania apartment building near the border with Ukraine. PHOTO: AFP

its soil, said Russia was a "danger to all". "During the night of May 28-29, the Russian Federation resumed drone attacks on civilian and infrastructure targets in Ukraine, near the river border with Romania," the Romanian defence ministry said.

"One of these drones entered Romanian airspace, was tracked by radar as far as the southern part of the city of Galati, and crashed onto the roof of an apartment building, with the impact triggering a fire," it said. Two F-16 fighter jets were scrambled after the drones were detected in Romanian airspace, the defence ministry said.

A nationwide air raid alert had been issued in neighbouring Ukraine overnight in anticipation of Russian strikes, with at least two people wounded following the attack in southern Ukraine's Zaporizhzhia, according to local authorities

"This incident represents a serious and irresponsible escalation on the part of the Russian Federation," Romania's defence ministry said, adding Bucharest had "requested measures to accelerate the transfer of anti-drone capabilities to Romania".

NATO-member states bordering Ukraine or Russia, including Romania, Latvia, Estonia and Poland are increasingly exposed to incursions into their territory by drones from both warring sides.

Latvia, which borders Russia, appointed a new government on Thursday, two weeks after the collapse of the previous administration due to a row over stray Ukrainian drone incursions, which exposed the weaknesses of the country's air defences.

Ukraine's navy said on Friday that a Russian drone had hit a Turkish cargo ship that had left the port city of Odesa,

sparking a fire and wounding two crew members. Russia, meanwhile, said its air defences had intercepted more than 200 Ukrainian drones overnight, with one person killed in the Volgograd region after a drone strike on a chemical factory.

The attacks followed a series of Russian strikes on Ukraine on Saturday in one of the most severe attacks since the start of the war. Russia has been threatening to escalate bombardments in retaliation for a Ukrainian strike that, according to Moscow, killed 21 people at a school in occupied Ukrainian territory.

Moscow announced Monday it had started a campaign of "systematic" strikes on Kyiv, after battering Ukraine with hundreds of drones and a hypersonic missile over the weekend, and called for diplomats and foreigners to leave the Ukrainian capital.

US, Iran strike tentative ceasefire, eye nuclear talks

AP
Washington, May 29

U.S. and Iranian negotiators reached a tentative agreement Thursday to extend the ceasefire in the 3-month-old war by 60 days and start a new round of talks on Iran's nuclear program, according to a U.S. official familiar with the matter.Iran did not immediately confirm any deal. Vice President JD Vance on Thursday evening confirmed there was a tentative agreement, but said it was unclear if President Donald Trump would approve it.

"It's hard to say exactly when or if the president's going to sign," Vance told reporters. He added: "We're going back and forth on a couple of language points."The emerging memorandum of understanding came as the fragile ceasefire in the war between the U.S. and Iran appeared to be wavering. The latest flare-up in fighting happened less than a day earlier, when Kuwait intercepted missiles fired from Iran, according to U.S. Central Command.

The memorandum makes clear that Iran will not be able to impose tolls on the Strait of Hormuz and that Iran will have to remove all mines from the vital waterway within 30 days, according to the official, who was not authorized to comment publicly and spoke on condition of anonymity.

During the war, Iran has effectively closed the strait, which had been the conduit for about a fifth of the world's traded oil and natural gas. Its closure has sent oil prices skyrocketing around the world. U.S. Treasury Secretary Scott Bessent predicted Thursday at a news briefing that the cost of oil could "come down very quickly" once a deal is finalized.

Iran has said it's letting some commercial vessels pass — about two dozen daily in recent days, compared with more than 100 a day before the war

— but the Islamic Republic also has charged tolls for at least some ships. It set up a formal gatekeeper agency earlier this month, spurring a new round of U.S. sanctions this week.

Under the tentative agreement, the U.S. would gradually lift its naval blockade on Iranian ports and would also agree to relax sanctions, allowing Iran to sell more of its oil.

Yet even as word of the potential deal emerged, the U.S. Treasury Department imposed additional sanctions on the Iranian military's oil sales arm. The new penalties, first reported by The Associated Press, extend the Trump administration's economic pressure campaign on the Islamic Republic.

Among the first issues to be negotiated during the 60-day ceasefire is what will happen to Iran's highly enriched uranium, the first official said. The Islamic Republic has 440.9 kilograms (972 pounds) of uranium that is enriched up to 60% purity, a short, technical step from weapons-grade levels of 90%, according to the International Atomic Energy Agency.

Vance suggested on Thursday evening that negotiators were trying to strike general terms on the highly enriched uranium settled in the tentative agreement, with the specifics to be hammered out in the ensuing talks.

Vance said the continued back and forth involved "a couple of issues on the nuclear stuff, the highly enriched stockpile, and also the question of enrichment."

Iran has not publicly committed to giving up the stockpile. It is believed to be buried under a trio of nuclear sites that were badly damaged by U.S. airstrikes last year.

Nuclear analysts have said that Iran might consider China or Russia, which have close relations with Tehran, to be a potential acceptable third party to take possession of the enriched uranium. But Trump said Wednesday that he "wouldn't be comfortable" with such a plan.

Mud volcano anniversary in Indonesia

AP
Sidoarjo, May 29

Residents in the East Java province of Indonesia scattered flowers, paid their respects and prayed at the edge of a mud lake on Friday, the 20th anniversary of the eruption of the Lusi mud volcano that inundated villages and killed at least 14 people.

The eruption on May 29, 2006, was likely triggered by commercial gas drilling by a local exploration company, according to scientific research, contradicting an Indonesian government minister at the time who insisted it was a natural disaster.

Residents gathered to remember those killed, and the homes and neighborhoods they once lived in before boiling mud slowly swallowed them up in the Porong subdistrict in Sidoarjo.

For years, experts have been searching for ways to slow the spread of the sludge. But all measures, including the construction of holding dams, to stop it have failed. The volcano continues to erupt to this day.

The 14 deaths included a worker who was killed in August 2006 when the digger he was using fell off a levee, and the 13 other victims died in November 2006 when an underground gas pipeline beneath one of the holding dams exploded.

Tens of thousands of residents were displaced after losing their homes,

land, jobs and even their ancestors' graves.

One resident, Sastro, 55, lost his house and his former job as a factory worker. The factory where he worked was submerged in mud, along with thousands of other structures within the 572-hectare (more than 1,400-acre) sea of mud.

Twenty years later, he now works as a motorcycle taxi driver, ferrying visitors on daily trips to the site, which has become a tourist destination in East Java.

"As far as I can tell, things have been really tough ever since the Lapindo incident," said Sastro, who like other Indonesians uses a single name.

Local mining company PT Lapindo Brantas was exploring for gas in the area of the disaster in May 2006.

Indonesia's president at the time, Susilo Bambang Yudhoyono, ordered the company to pay \$420 million in compensation to villagers who lost their homes and to help the government fund its emergency operations.

However, the government subsequently provided emergency financial assistance to compensate the affected victims. While Lapindo Brantas did provide some aid, it was a fraction of the total.

After two decades, white smoke can be seen billowing from the center of the mud lake, indicating that hot mud is still erupting from the vent. Excavators dredging the bottom of the mud pond have become a common sight.

WHO to address rare Ebola

AP
Kinshasa, May 29

The head of the World Health Organization arrived in Congo's capital, Kinshasa, late Thursday to witness efforts against an outbreak of a rare type of Ebola virus, as medical personnel struggle with a lack of equipment, a distrustful population and armed groups in a volatile region.

"To come here is to really show to the community that they're not alone," WHO Director-General Tedros Adhanom Ghebreyesus told reporters at the airport.

"Pushing orders from my comfortable office in Geneva is easy, but I'm asking my colleagues to work with the community and I am asking communities to protect themselves," he added.

Medical aid donated by the European Union arrived in Ituri province, the heart of Congo's Ebola outbreak, on Thursday. The United States announced the same day \$80 million in additional aid, bringing its total commitment to more than \$112 million.

Health workers with scant supplies have been struggling to contain an outbreak of the Bundibugyo virus, a kind of Ebola that has no approved treatment or vaccine. In some areas, doctors have resorted to wearing expired medical masks while treating suspected patients.

According to WHO, 1,077 suspected cases and 238 suspected deaths have been recorded as of Tuesday,

Dangers faced by health workers have been heightened by anger among



Director General of WHO, Tedros Adhanom Ghebreyesus, welcomed by UK Foreign Secretary Yvette Cooper at N'djili International Airport in Kinshasa, Congo. PHOTO: AP

residents over the stringent medical protocols for dealing with the bodies of victims, which clash with local burial rites. Residents have launched at least three attacks against health centers.

Tedros said other challenges are also complicating the containment of the outbreak, including the high number of people displaced by armed conflict in the region, and food insecurity.

On Wednesday, he had called for a ceasefire in a region where armed groups have staged violent attacks for decades. "We cannot build community trust or isolate the sick while bombs are falling," Tedros said.

Tucked in the northeastern part of Congo close to the Ugandan border, Ituri

province has been reeling from attacks by the Allied Democratic Force, a rebel group allied with the Islamic State group, and a coalition of ethnic militias. In early May, the ADF killed at least 40 people and burned several homes in Ituri.

The illness also has been reported in the Congolese provinces of North Kivu and South Kivu, south of Ituri, where the Rwanda-backed M23 rebel group controls many key cities, including Goma and Bukavu. The rebels have reported two cases.

The region's main airport in Goma, which doubles as a staging ground for humanitarian efforts into the region, has been closed since January 2025, when M23 seized the city.

Migrants flee India crackdown to Bangladesh

AFP
Hakimpur, May 29

Hasina Bibi clutched her hungry four-year-old daughter as she waited at an India-Bangladesh border post, trying to leave as fears grow of an Indian crackdown on undocumented migrants.

She is among the hundreds of Bangladeshis who have gathered over two days at Hakimpur in India's West Bengal state, police said, hoping to cross back as authorities tighten enforcement under a new state government.

Prime Minister Narendra Modi's Hindu-nationalist Bharatiya Janata Party won power in West Bengal earlier this month promising to "detect, delete and deport" illegal migrants. The rush underscores growing anxiety among migrant communities -- many of whom lack proper documentation -- with rights groups warning of forced expulsions and limited legal protections.

Many are in limbo, caught between Indian pressure to leave and



A Bangladeshi migrant at an Indian Border Security Force (BSF) camp at Hakimpur on the outskirts of Kolkata. PHOTO: AFP

Bangladesh's refusal to accept them without formal proof of citizenship. Many have waded across a river to return in desperation, although the scale of the exodus remains unclear.

Last week, West Bengal authorities

ordered the establishment of "holding centres" for "apprehended foreigners", including Bangladeshis and Rohingya, fuelling anxiety among the state's roughly 35 million Muslims. "We have been asked to leave immediately, or the government will take

stern action," said Hasina, 45, who worked at construction sites in Kolkata after entering India six years ago.

"We came to this city in search of a job. Now we want to return to Bangladesh, (but) we don't know what is waiting for us there," she said. Her husband tried feeding their child scraps of leftover bread as families huddled in an unfinished building near the outpost, some without proper food for days.

The sudden influx followed word spreading among migrant communities that crossing into Bangladesh was possible from Hakimpur, about 80 kilometres (50 miles) east of Kolkata. India shares a long and porous border with Bangladesh, where migration has historically been driven by economic hardship and longstanding family links.

In Indian states that border Bangladesh, like West Bengal and Assam, undocumented migrants have formed an integral part of the informal workforce for years. But activists say hundreds have been pushed across the border from Assam in recent months without due legal process, often based on ethnic profiling.

The developments in Assam have heightened fears in West Bengal, officials and residents say. "People are trooping to the Hakimpur border check-post since Tuesday after hearing that crossover to Bangladesh is possible from this outpost," senior state police official Subrata Saha told AFP at the site.

Authorities said those who have gathered at the temporary shelter will be moved to holding centres for preliminary checks before being handed to Border Security Force (BSF) and sent to Bangladesh. West Bengal's history of migration dates back to the partition of British India in 1947.

Bengal was divided along religious lines into predominantly Hindu West Bengal, which became part of India, and Muslim-majority East Pakistan, later becoming Bangladesh. For many, returning raises questions of identity as much as survival. "My parents came to India from Bangladesh over two decades ago. I was born in Kolkata, but I don't have valid documents to prove my (Indian) nationality," said Abdul Sheikh, 20.

PRISM

Texas builds giant golf ball pyramid

Texas: A trio of golf fans paid tribute to their game of choice in Texas by assembling the world's largest golf ball pyramid from 19,019 balls.

Michael Furrh, Debbie Reynolds and Terri Janak led a team of volunteers in the golf ball pyramid construction at Benbrook Lake as part of the 2025 Benbrook Heritage Fest in September. The finished structure was comprised of 19,019 balls, beating the record of 17,575, which was set by Pennsylvania man Zachary Krivida in 2022.

The record-breaking pyramid featured 38 rows of carefully stacked balls, and the team was not allowed to use any adhesive or other product to keep the balls in place. The base of the pyramid was braced by a custom-built wooden stage.

Beach trip brings \$50K prize

Pennsylvania: A Pennsylvania man stopped for gas on his way home from a weekend at the beach in Maryland and ended up winning a \$50,000 lottery prize.

The Wrightsville man told Maryland Lottery officials he and his wife were headed home from a weekend at their vacation house in Ocean City when he stopped for gas and picked up a \$5 Winning Streak scratch-off ticket from the Royal Farms on Pulaski Highway in Elkton.

The man said he forgot about the ticket until his wife handed it to him at home a few days later. The couple were shocked to discover it was a \$50,000 winner. The man said his prize money will go toward paying off his vehicle and the rest will go into savings.

Agencies TODAY IN HISTORY

- 1381 – Beginning of the Peasants' Revolt in England.
- 1416 – The Council of Constance, called by Emperor Sigismund, a supporter of Antipope John XXIII, burns Jerome of Prague following a trial for heresy.
- 1431– Hundred Years' War: In Rouen, France, the 19-year-old Joan of Arc is burned at the stake by an English-dominated tribunal.
- 1510 – During the reign of the Zhengde Emperor, Ming dynasty rebel leader Zhu Zhifan is defeated by commander Qiu Yue, ending the Prince of Anhua rebellion.
- 1536 – King Henry VIII of England marries Jane Seymour, a lady-in-waiting to his first two wives.
- 1539– In Florida, Hernando de Soto lands at Tampa Bay with 600 soldiers with the goal of finding gold.
- 1574– Henry III becomes King of France.

Republic Day motivates towards nation-building drive: President

BY A STAFF REPORTER
Kathmandu, May 29

President Ramchandra Paudel has said that the republic has guaranteed all political rights to the people and the Republic Day motivates everyone towards nation-building drive.

Addressing a special ceremony organised at the Army Pavillion, Tundikhel, on Friday to mark the 19th Republic Day-2083 BS, President Paudel said the republican system had united citizens and inspired them towards the shared goal of building a common nation.

“The republic has guaranteed all political rights to us. It has also provided us with an opportunity to move forward united for a prosperous future. It has connected citizens and inspired us towards the resolve of building a shared nation because it has granted us ownership over our ethnicity, language, religion, culture, civilisation and land. Therefore, it is a great inspiration and responsibility for nation-building,” he said.

President Paudel expressed hope that all political forces would work together with renewed political commitment, values and conduct to protect the dignity of the republic and make it more prosperous. He said that republicanism was not merely a political system but also a disciplined political, economic and social way of life.

The President said that the House of Representatives elections, held in March to address the difficult circumstances facing the country, had been completed successfully and had produced a government with a strong mandate. He said the government had prioritised good governance, improvement in public service delivery, economic recovery, zero tolerance towards corruption and social advancement in line with public aspirations for prosperity.

He also expressed confidence that the government’s decision to fully implement the 100-point governance reform agenda and carry out structural and legal reforms aimed at promoting a borderless economy and weightless trade would raise public hope.

“We all must understand that changes in the political system and governing structures alone cannot fulfill the expectations of the era. For that, transformation is also necessary in the character of state power, conduct, political commitment and values. Otherwise, behaviour



President Ramchandra Paudel addressing the special ceremony held on the occasion of the 19th Republic Day at the Army Pavilion in Tundikhel, Kathmandu on Friday.

will not validate political change,” President Paudel said.

He also claimed that the country’s greatest enemy today was not any external force but rather delays, irregularities and disorder. He stressed that such shortcomings should not leave citizens, who hold the dream of a democratic republic, disillusioned.

REPUBLIC DAY OBSERVED

“The goal of the federal democratic republic, achieved through blood and sacrifice, will not be fulfilled until a light of hope shines in the life of every citizen,” he said. The President said political achievements alone were insufficient to connect change with the lives of citizens, stressing the need to transform governance culture, politics, political parties and leadership.

“To realise the true excellence of republicanism, we must not delay in making our politics, governance style,

political parties and representative institutions fully democratic, impartial, competitive, just and effective,” he said.

“Our political parties, government and leadership must be creative, humble, accountable, principled and disciplined. Our governance structures and state institutions must be made dynamic and result-oriented. We must guarantee good governance,” he said.

Referring to the constitution’s vision of a federal democratic republic, President Paudel said it aimed to ensure justice for the marginalised and economic opportunities for the poor alongside political, economic, social, religious and cultural freedoms.

He added that the system had made citizens sovereign and recognised them as the ultimate source of state power and authority. He said the constitution had institutionalised citizen supremacy as a major achievement and that its implementation had spread Singha Durbar’s powers to villages across the country.

The ceremony was attended by

Vice-President Ramsahay Prasad Yadav, Prime Minister Balendra Shah, the Chief Justice, Speaker of the House of Representatives, Chairperson of the National Assembly, ministers, heads of constitutional bodies, chiefs and representatives of diplomatic missions in Nepal, senior government officials and distinguished personalities from various sectors of society.

At the ceremony, organised under the coordination of the Ministry of Home Affairs, cultural tableaux and rallies from Kathmandu Metropolitan City, Lalitpur Metropolitan City, Bhaktapur Municipality, and other municipalities in the Valley were presented.

Likewise, the Nepali Army, Nepal Police, and the Armed Police Force Nepal participated in various musical bands, march past, and drill events.

A shower of flower petals was also carried out from a Nepali Army helicopter bearing a banner “Republic Day-2083”, while a pair of white doves, symbolising peace, were released into the sky.

Budget seeks to strengthen national security

BY A STAFF REPORTER
Kathmandu, May 29

The government has increased budget allocations for the Ministry of Home Affairs and the Ministry of Defence for the upcoming fiscal year 2026/27, prioritising national security, defence modernisation and the strengthening of security agencies.

Presenting the annual budget at a joint sitting of Federal Parliament on Friday, Finance Minister Dr. Swarnim Wagle said the government aims to ensure the timely provision of essential arms, equipment and other security resources for security forces.

For the fiscal year 2026/27, the government has allocated Rs. 108.32 billion to the Ministry of Home Affairs and additional Rs. 91.96 billion under the Public Peace Security, and Rs. 64.96 billion to the Ministry of Defence. While the Home Ministry’s allocation has been reduced compared to the current fiscal year, defence spending has seen an increase.

In the current fiscal year 2025/26, the Home Ministry had received Rs 208.62 billion. This has been revised downward to Rs. 200.28 billion for the new fiscal year. In contrast, the Defence Ministry’s budget has been increased by Rs. 2.95 billion compared to the current allocation.

The budget has placed strong emphasis on national security reforms, including a review of the National Security Policy-2018 as part of efforts to strengthen governance and security coordination.

'Bunker to Barrack' initiative

A total of Rs. 2 billion has been allocated to continue the housing upgrade programme for Nepali Army personnel, formerly known as the “Bunker to Barrack” initiative. The government has also pledged to conserve historical forts and strategic border points, linking them with tourism promotion efforts.

In a bid to improve criminal investigation and prosecution, the budget highlights increased investment in modern technology for Nepal Police. This includes strengthening forensic laboratories, expanding the use of



Presenting the annual budget at a joint sitting of Federal Parliament on Friday, Finance Minister Dr. Swarnim Wagle said the government aims to ensure the timely provision of essential arms, equipment and other security resources for security forces.

artificial intelligence in investigations and upgrading physical infrastructure.

The government has also announced to conduct a study into the gap between retirement and pension eligibility for personnel of Nepal Police and the Armed Police Force Nepal.

Additionally, the Armed Police Force Nepal is expected to be further developed as a dedicated professional force for border security.

Plans have also been outlined to strengthen prison infrastructure, expand capacity, and gradually introduce open prison systems aimed at transforming correctional facilities into rehabilitation centres.

In the area of disaster management, the government has pledged to enhance the capacity of response personnel and volunteers, while also expanding risk transfer mechanisms such as insurance schemes to support post-disaster compensation, relief and reconstruction efforts.

Private sector...

Speaking to The Rising Nepal, Agrawal said the private sector has long been demanding reforms in tax polities to promote domestic production and strengthen investment climate.

“We, the private sector, are excited by the new tax provisions and capital expenditure spending plans in the budget as we had been demanding for the past few years to boost domestic production and private sector investment,” he said.

He highlighted that the doubling of the personal income tax exemption threshold to Rs. 1 million and the reduction of maximum personal income tax rate by 10 percentage points are highly encouraging measures. “This is appreciable,” he added.

Agrawal further noted that customs duties on 273 types of industrial raw materials have been reduced to ensure they remain at least one level lower than finished products, while the existing 11-tier customs structure has been streamlined into seven levels to improve efficiency and reduce production costs.

He also welcomed the government’s decision to scrap excise duties on 360 items and consolidate various scattered levies collected at customs points—including infrastructure development tax and road maintenance fees—into a single “green tax.”

However, he stressed that the government must focus on effective implementation of the budget to achieve the targeted 7 per cent growth and to strengthen private sector confidence in the economy.

Economist Dr. Chandra Mani Adhikari said that the budget has emphasised good governance, transparency, and overall economic discipline.

He noted that the budget prioritizes better management of resources by cutting unnecessary expenditures, which he described as a positive move for the economy.

However, Dr. Adhikari expressed concern over the feasibility of achieving the targeted 7 per cent growth, pointing out that capital expenditure allocation remains relatively low compared to the increase in the overall size of the budget and recurrent expenditure.

He further said that maintaining inflation within the targeted limit of 6 per cent would also be challenging due to rising recurrent expenditure and external economic pressures.

Increase in excise...

In addition, customs duty exemptions will be provided on the import of raw materials brought in under industries producing artificial limbs and assistive devices for persons with disabilities within Nepal.

The budget has also introduced a provision allowing taxpayers to deduct up to Rs. 10,000 for residential house insurance premiums for income tax purposes.

Likewise, capital gains tax will not be levied on amounts up to the government-assessed valuation for house and land registration during land acquisition for development and construction projects, Minister Wagle said.

To promote agro-processing industries, the government has announced a full income tax exemption for the first 10 years of operation.

Similarly, value added tax (VAT) exemptions will be provided on the import of machinery and equipment, including cold storage, packaging and testing laboratories used in the sector.

To promote wedding tourism, the budget has proposed to establish automatic system for declaring goods brought for wedding purposes, collecting deposits, and refunding those deposits upon return after the wedding ceremony.

“We will develop a paperless, faceless, and contactless revenue administration system. Arrangements will be made to automate services such as tax filing, payment, refunds, and other related processes,” said Dr. Wagle.

Green economy, forest industries in priority

BY A STAFF REPORTER
Kathmandu, May 29

The government has allocated Rs. 12.31 billion for the forest, environment and climate sector for the upcoming fiscal year 2026/27.

Unveiling the budget, Minister for Finance Dr. Swarnim Wagle, said that forests and natural resources will be transformed from being limited to conservation into a foundation for green industrialisation, job creation and import substitution.

The government will promote sustainable timber production, forest-based industries, processing of herbs and non-timber forest products, and green enterprises.

According to Minister Dr. Wagle, to improve the competitiveness of domestic timber industries, the sale price of raw timber collected during development and construction works will be reviewed. “The permit system related to the felling, collection, transportation and sale of forest products will be converted into a fully digital single-window system to reduce procedural hassles.”

Community forest user groups will be granted greater autonomy in production, processing, branding and enterprise operation. Inconsistencies among laws and policies related to forests, environment, industry, energy and infrastructure will also be removed.

The economic valuation of forest carbon stock, ecosystem services and natural capital will be incorporated into the budget and planning system, he said.

The government has allocated Rs. 1 billion for activities such as conservation of water sources, pond construction, landslide control and embankment building to sustain the water cycle in the Chure and Tarai-Madhes region. The government will also begin fixing support prices and purchasing herbs and non-timber forest products, while a herbal processing centre will be established in Karnali, Minsiter Dr. Wagle said.

A results-based REDD+ programme will be implemented for emission reduction by prioritising local communities in the benefits received from carbon emission reductions. The private sector will also be provided access to concessional financing from international climate funds. To control forest fires, drones and satellites will be used for real-time information exchange. Human-wildlife coexistence programmes will be launched in high-risk areas. Air pollution monitoring centres and the central environmental laboratory in major cities will also be upgraded.

Tourism

Under the tourism, large-scale infrastructure development will be carried out at the historical sites of Tilaurakot, Devdaha, Kapilvastu and Ramgram. Rs. 830 million has been allocated for

the Greater Lumbini Development Programme. Janakpur will be developed and branded as a wedding destination, while funds have been allocated to upgrade the Ram-Janaki Path and Ram-Janaki Parikrama Road.

Infrastructure development will be prioritised to promote hill stations in touristically important hilly regions. Reliable arrangements will be made for the safety and emergency rescue of mountaineers and trekkers. A special project will also be launched to conserve at least two dozen historical Buddhist monasteries over 200 years old in high Himalayan districts including Mustang and Manang.

The Great Himalayan Trail and other trekking routes will be developed as strategic trekking trails. The government will also develop the high-hill eco-tourism trail, known as the Daphe Route, linking Khaptad, Ramaroshan, Badimalika, Budhinanda, Rara, Swargadwari and Muktinath. Trekking routes including Api Himal, Dordi Himal, Sikles-Kahupuche-Manang and Tinjure-Pathibhara will also be developed, he said.

As a pilot project for cycle trails in the mid-hills of Gandaki Province, the Kaski Lipeni-Thumsikot-Bhachok-Lamtari route and the Byas-Chhabdi Barahi-Bandipur-Chhimkeshwari-Labdi-Devghat route will be constructed.

The museum in Kirtipur will also be expanded to preserve the culture

of indigenous nationalities. Model homestays targeting dense Dalit settlements in Madhes, Karnali and Sudur-pashchim will be introduced to promote traditional Dalit skills, arts and occupations, Minister Dr. Wagle said.

Mountains above 6,000 metres that have not yet been named will be given indigenous names and specially marketed for mountaineering.

Start-up and innovation

Under start-up and innovation, the government will establish the Nepal Enterprise Facility as a platform to integrate start-ups and small and medium enterprises into the national enterprise ecosystem. The platform will support enterprise-related policies, innovative financial instruments, incubation support networks and domestic enterprise campaigns in an integrated manner.

According to Minister Dr. Wagle, start-up support will be provided to 1,000 young entrepreneurs interested in agricultural and livestock-based enterprises. Funds have also been allocated for research, innovation and entrepreneurship enhancement programmes to provide young scientists with opportunities for research within the country.

Funds have also been allocated to establish an observatory centre at Everest Base Camp to promote astronomical tourism. The government has allocated Rs. 4 billion for science, technology and innovation, and Rs. 500 million for the Nepal Enterprise Facility.

Budget outlines tax, policy reforms to reignite...

Cases pending in courts or judicial bodies can be settled if taxpayers pay the principal tax amount with an additional one per cent within the stipulated deadline, while penalties, fines and interest charges will be waived.

Administrative reform

On administrative reforms, the government pledged to streamline the state structure by abolishing 31 agencies, merging six and restructuring 18 others.

Savings from downsizing government departments and staff positions will be used to improve administrative efficiency. The government estimates such austerity measures could save nearly Rs. 20 billion.

The budget has announced to improve the investment climate; dozens

of laws, regulations and directives will be amended or introduced.

The government plans to simplify company closure procedures, ease foreign investment approvals and remove the requirement for prior approval from the central bank for profit repatriation and investment returns.

Appropriate policy and legal arrangements will be made for investment promotion, economic reform, and smooth service delivery.

“For this, we will formulate, replace, or revise dozens of acts, rules, procedures, and guidelines. We will present some Nepal Act Amendment Bills in Parliament to immediately repeal 15 laws that have already been announced,” he said.

Nepali citizens will also be allowed easier investment abroad, while

non-resident Nepalis will be encouraged to participate in the secondary securities market through legal reforms.

AI computing centre at Syuchatar
In a major push for technological advancement, the government announced plans to establish Nepal’s first sovereign AI computing centre at Swayambhu-based Syuchatar in Kathmandu.

Thousands of AI processing units will be procured to provide affordable computing services to AI entrepreneurs and start-ups.

The government also plans to invite at least 15 internationally recognised Nepali AI researchers back to Nepal through prestigious fellowships and prioritise subjects such as mathematics

to prepare the country for the artificial intelligence era.

“We will make legal provisions related to debt recovery. We will soon formulate laws concerning the protection of intellectual property. We will establish a system that enables loans to be provided based on the credit assessment of individuals and businesses by analysing their overall past economic activities,” he said.

The budget mentions that legal provisions related to foreign investment approval, investment accounting, profit repatriation, and capital gains tax will be amended to allow non-resident Nepalis to participate in the secondary securities market.

The government plans to restructure the Nepal Electricity Authority into three separate companies responsible

for electricity generation, transmission, distribution and trade.

Private sector participation in international electricity trading will be permitted, while power purchase agreements (PPAs) for projects below 10 megawatts will be approved immediately.

The government also pledged to strengthen public institutions through capital expansion and strategic partnerships while partially divesting shares in selected state-owned enterprises.

“We will complete within the coming year the work of asset and liability valuation of seven public enterprises, including Gorakhhali Rubber Industry, and manage investments under a public-private partnership model,” said the budget.

Budget to boost religious tourism

BY A STAFF REPORTER
Kathmandu, May 29

The government has announced improvements and upgrades to various highways connecting religious and cultural routes, aiming to develop them into tourist hubs.

Presenting the budget for the upcoming fiscal year on Friday, Finance Minister Dr. Swarnim Wagle stated that the Shaligram Path will be developed by connecting Triveni Dham, Devghat, Ruru Kshetra, Kagbeni, Muktinath and Damodar Kund.

Minister Wagle further stated that the Siddhartha Highway will be upgraded to international standards, while the Gandaki, the birthplace of the Kaligandaki civilisation, will be transformed into a pilgrimage site and a clean, enterprise-focused business area.

A religious and cultural route from Lumbini to Muktinath will be constructed, integrating meditation, spiritual practices, yoga, and Himalayan cultural experiences.

The budget introduced on Friday also states that the reconstruction and preservation of heritage sites will be expedited.

Similarly, extensive infrastructure will be developed at the historical sites of Tilaurakot, Devdaha, Kapilvastu and Ramgram. The government has allocated Rs. 830 million for the Greater Lumbini Development Programme.

The government will also develop and brand Janakpur as a wedding



FILE PHOTO: TRN

destination and has allocated funds for upgrading the Ram Janaki Path and Ram Janaki Parikrama Road.

It was further announced that the process of enlisting the Janaki Temple area of Janakpurdham, the Tilaurakot area of Kapilvastu, and Gokarneshwar in the list of UNESCO World Heritage Sites will be expedited.

The government will launch a special project to preserve at least two dozen historic Buddhist monasteries that are more than 200 years old in the high-mountain districts of Mustang and Manang.

The government also plans to promote regional tourism corridors, including Khaptad (Badimalika)–Shuklaphanta,

K ankrevihar (Panchkoshi)–Rara, Thakurdwar (Swargadwari)–Ruru region, Devghat–Muktinath (Tilicho), Kalinchowk (Jugal)–Gosaikunda, and Sakhada (Dhanushadham)–Gadhimai–Halesi (Chatarā)–Pathibhara.

The Great Himalayan Trail and other trekking routes will be developed as strategic trekking routes. The government will also develop the high-mountain eco-tourism trekking route (Danfe Route) connecting Khaptad, Ramaroshan, Badimalika, Budhinanda, Rara, Swargadwari and Muktinath. The budget also states that the under-construction cultural museum in Kirtipur will be completed within two years.

The government has allocated Rs. 7.34 billion for the culture and tourism sector and Rs. 2.93 billion for the civil aviation sector.

Similarly, the government announced a 10-year income tax exemption for the establishment of movie theatres in metropolitan and sub-metropolitan cities.

Film associations and other exhibition bodies have long demanded such provisions from the government. Currently, there are 170 theatres across the country. The measure has been included in the budget as the Film Development Board aims to increase the number of theatres to more than 200.

6 Chinese films to be screened

BY A STAFF REPORTER
Kathmandu, May 29

Award-winning Chinese films from the Beijing International Film Festival are set to be screened in Kathmandu.

Under the promotional programme ‘Tiantan Award Panorama,’ six of these films will be screened in Kathmandu from June 2 to June 4.

The screenings are being organised through cooperation between the China Film Administration, the Beijing International Film Festival, and the Nepal Film and Cultural Foundation.

The event is also supported by the Chinese Cultural Centre in Kathmandu, Tribhuvan University, Kathmandu University, and Confucius Institutes in Lumbini, as well as Buddhism-related institutions.

KP Pathak, Chairperson of the Nepal Film and Cultural Foundation, said that the initiative aims to strengthen relations between Nepali and Chinese filmmakers.

Three films will be shown on the first day of the programme. The first film, ‘Trapped,’ will be screened at the event.

‘Trapped’ is the crime thriller directed by Sagara Zhang. The film won the Best Screenplay and Best Supporting Actor awards at the Beijing International Film Festival. A



question-and-answer session with director Zhang is also scheduled.

Likewise, ‘Summer Diary,’ directed by Wu Shuang, will be screened.

Other films like ‘Lost in the Star,’ ‘The Shadowless Tower,’ and ‘Journey to the West’ will be screened on June 3 and 4.

Three Nepali films hit movie theatres

BY A STAFF REPORTER
Kathmandu, May 29

Four films, including three Nepali productions, were released in theatres on Friday.

The films ‘Shape of Momo,’ ‘Roll No. 1,’ ‘Kumbh,’ and the Hollywood film ‘Passenger’ are now showing in cinemas.

‘Shape of Momo,’ the debut feature film by Sikkim-based filmmaker Tribeny Rai, was released simultaneously in Nepal and India on Friday.

The film’s release is being supported by Indian actor and producer Rana Daggubati through his company, Spirit Media. The film also features executive producers Zoya Akhtar, Reema Kagti, and Payal Kapadia.

Produced by Dalley Khorsani Production and co-produced by Kathkala Films, the film portrays the story of three generations of women within a single family against the backdrop of a Himalayan village in Sikkim. It explores life, relationships, silence, emotional inheritance, and identity, while also deeply examining the emotional meaning of home.

Artists, including the late Bhanu Maya Rai, Gaumaya Gurung, Pashupati Rai, Rahul Mukhiya, and Shyamasree Sherpa, have acted in the film.

The film has already been screened at prestigious international festivals, including the Busan International Film Festival and the San Sebastián International Film Festival, where it received awards and critical acclaim.

Likewise, another film, ‘Roll No. 1,’ has been produced by Binod Poudel, who previously produced the successful film ‘Purna Bahadurko Sarangi’. Directed by John Yonjan, the film



explores how government scholarships and the pressure to secure the top roll number affect children’s psychology.

Artists including Mukun Bhusal, Sushank Mainali, Renu Yogi, and Sirjana Adhikari play leading roles in the film.

The other release, ‘Kumbh,’ is an Indo-Nepal collaborative project. It is an intense Nepali action drama directed by Randhir Shrestha.

Blending action and romance, the

film features South Indian actor Suren-dra Thakur and adopts a filmmaking style similar to South Indian cinema. The film also stars Ashok Aryan, Sunil Thapa, and Sushil Pokharel.

Apart from the new releases, ‘Lalibazar,’ ‘Kaji,’ and ‘Life Damage’ are still screening in cinemas.

Released on May 8, ‘Lalibazar’ is continuing to perform well both commercially and critically in the Nepali cinemas.

JOHAR UNFOLLOWS BOLLYWOOD STARS

AGENCIES
Mumbai, May 29

Bollywood popular filmmaker Karan Johar has unfollowed several high-profile Bollywood artistes from his Instagram handle, sparking widespread speculation on social media. According to Johar, the move was part of a personal digital detox aimed at reducing his time on the platform.

On Thursday, users noticed that Johar had reduced the number of accounts he follows to just 78, despite having more than 17 million followers. Several prominent names appeared to have been removed, including Shah Rukh Khan, Kareena Kapoor, Alia Bhatt and designer Manish Malhotra. Actors Varun Dhawan, Sidharth Malhotra, Malaika Arora, Ananya Panday and Kartik Aaryan were also reportedly unfollowed.

The development quickly triggered online discussions, with many fans speculating about possible rifts within the film industry.

Johar later addressed the speculation through his Instagram Stories, clarifying that there was no controversy behind the move.

“It’s a digital detox! Am unfollowing everyone to reduce my time and energy spent on the gram! This cannot be national news for god’s sake please clickbait something else! This is irrelevant!” he wrote.

Karan Johar, one of Bollywood’s most influential filmmakers and social media personalities, is known for frequently sharing updates about his films, family life with children Yash and Roohi, and close interactions with industry colleagues.

Artists cancel Trump-linked Freedom 250 shows

AP
New York, May 29

A day after President Donald Trump-affiliated Freedom 250 announced the “first wave” of performers for “The Great American State Fair” concerts on Washington’s National Mall in June and July, the line-up has been hit by a wave of cancellations. Young MC, Morris Day, the Commodores and Martina McBride are among the scheduled acts who have said they will no longer appear.

Scheduled performers also include Milli Vanilli, the 1980s pop duo disgraced after it emerged their frontmen, Rob Pilatus and Fab Morvan, had been lip-synching.

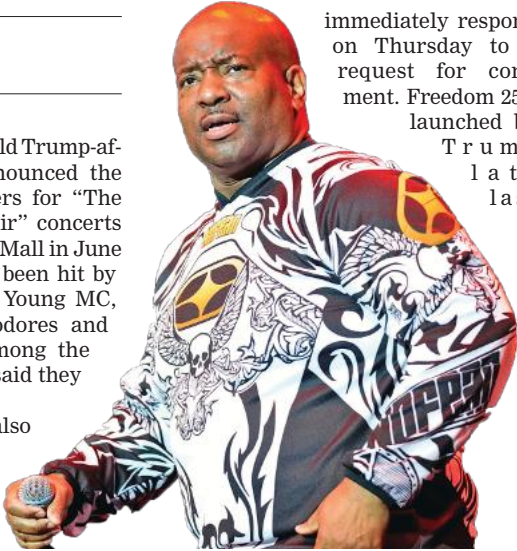
Milli Vanilli won the Grammy Award for Best New Artist in 1990, but the prize was later withdrawn after the scandal broke. Pilatus died in 1998, while Morvan has pursued a solo career and published a memoir, “You Know It’s True: The Real Story of Milli Vanilli”.

Morvan recently told The Guardian he owns the Milli Vanilli name, and he said in a statement on Thursday that he would still perform at The Great American State Fair.

“I am here to entertain and unite people, not divide them,” Morvan said. “Let’s celebrate life and music and take a trip down memory lane. I feel honoured to be part of it as it celebrates the 250th anniversary of America alongside many other accomplished artists.”

A Freedom 250 spokesperson did not

immediately respond on Thursday to a request for comment. Freedom 250, launched by Trump late last



year, describes itself as a “national, non-partisan organisation leading the celebration of our nation’s 250th birthday”. Trump appointed Keith Krach, who served as an undersecretary of state during his first term, as the organisation’s chief executive.

Trump and his supporters have long had a contentious relationship with the music industry. Céline Dion, Elton John and Guns N’ Roses are among the many artists who have objected to their music being played at Trump rallies.

Country singer McBride wrote on social media on Thursday that she had agreed to perform after being “assured this was a non-partisan event”.

“Yesterday things started changing and what we were told is, in fact, not what is happening,” she said.

HOROSCOPE

tarot.com

ARIES: Start boldly today. The Moon activates your travel zone, clashing with Uranus in communication. Plans for trips, studies, or expansion may conflict with messages, local duties, or a sibling’s sudden request. Stay flexible and curious.

CANCER: Routines shift as private feelings surface. Your 6th House of Work and Well-being lights up as the instinctive Moon moves there, facing sudden Uranus in your 12th House of Solitude.

LIBRA: Small talks open wider doors of understanding. Conversations open horizons as an emotional Moon moves through your 3rd House of Communication, meeting surprising Uranus in your 9th House of Higher Learning.

CAPRICORN: Quiet moments help you reset your pace. Rest competes with duties as the moody Moon moves through your 12th House of Solitude, opposite inventive Uranus in your 6th House of Work and Well-being.

TAURUS: Slow choices build comfort you can trust. Your 8th House of Shared Resources shifts as the moody Moon moves there, opposing rebellious Uranus in your 2nd House of Resources.

LEO: Fun takes center stage today. The Moon sparks creativity and passion, while Uranus shakes up friendships and group plans. A personal project, romance, or kids’ activity may clash with changing expectations, schedules, or shared responsibilities.

SCORPIO: Money questions invite deeper trust-building work. Security wants honesty as the nurturing Moon lights your 2nd House of Finances, while reactive Uranus stands opposite in your 8th House of Shared Resources and demands updates.

AQUARIUS: Friends may call, yet your muse speaks louder. Your 11th House of Friendship lights up as the Moon, ruler of feelings, moves through and opposes surprising Uranus in your 5th House of Creativity.

GEMINI: Conversations echo with surprising truths about you. Partnership wants balance as the nurturing Moon activates your 7th House of Partnership, standing opposite awakening Uranus in your 1st House of Identity.

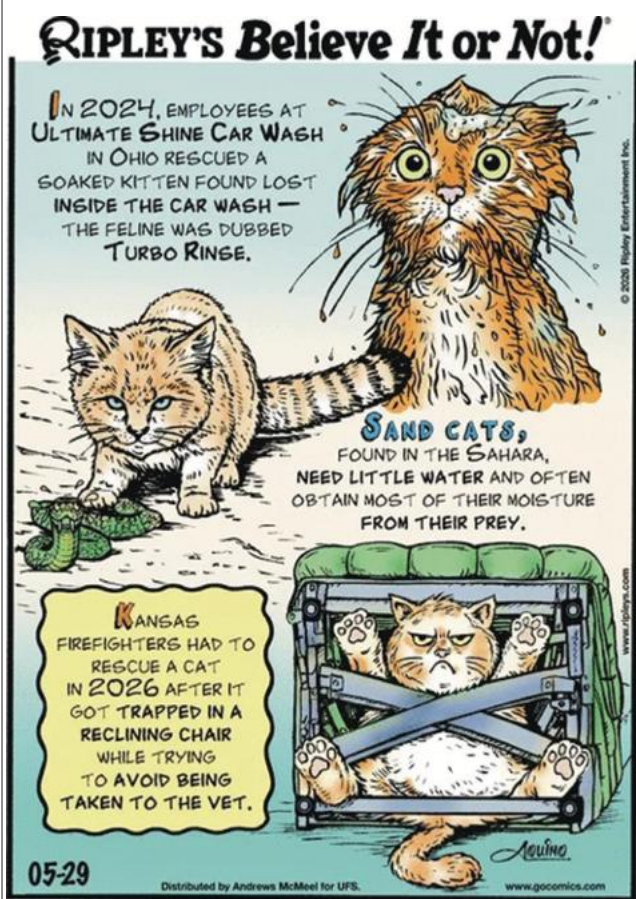
VIRGO: Home needs and career goals share headlines. Your 4th House of Home and Family centers as the Moon, planet of emotions, settles there, while unconventional Uranus energizes your 10th House of Career.

SAGITTARIUS: Fresh emotions spark confidence today. With the Moon entering your sign, attention shifts to your identity and presence. You may feel driven to speak up, refresh your image, begin something new, or reveal your authentic self.

PISCES: Public plans and home needs trade places. The Moon, planet of our emotions, lifts your 10th House of Career, while innovative Uranus shakes your 4th House of Home and Family..

CARTOON

gocomics.com



Three-time finalist Netherlands face Japan, Sweden, Tunisia in Group F

Can three-time World Cup runner-up the Netherlands finally win soccer's greatest prize?

The Dutch are one of the tournament's great nearly men, having lost back-to-back finals in 1974 and '78 and then again in 2010.

The Netherlands has been drawn against Sweden, Japan and Tunisia in Group F.

They will be favorites to advance as group winners, but there are potential pitfalls — not least in the form of Japan, which stunned Germany and Spain at the 2022 World Cup.

The Netherlands

The creators of so-called "total football" in the 1970s, the Netherlands has always been easy on the eye, but it has never been enough to get it over the line at a World Cup.

Coach Ronald Koeman — in his second spell in charge of the national team — is hoping to end his country's wait.

He won major honors with the Netherlands as a player when lifting the European Championship in 1988 and he was a runner-up in the Nations League in 2019 in his last spell in charge.

Japan

Japan is competing at its eighth straight World Cup and aiming to advance beyond the group stage for the third tournament in a row.

It was first team to qualify for this year's event, other than the three host nations, securing its place with three games to spare.

It produced two of the biggest upset at the last World Cup in Qatar when beating Germany and Spain in the group phase, but it has never progressed beyond the round of 16.

The majority of Japan's national



GROUP F MATCHES			
 NED	VS	 JPN	June 15 (1:45 AM)
 SWE	VS	 TUN	June 15 (7:45 AM)
 NED	VS	 SWE	June 20 (10:45 PM)
 TUN	VS	 JPN	June 21 (9:45 AM)
 TUN	VS	 NED	June 26 (4:45 AM)
 JPN	VS	 SWE	June 26 (4:45 AM)

team plays in Europe, including Bayern Munich defender Hiroki Ito and Brighton forward Kaoru Mitoma.

Sweden

The Swedes advanced via the back door — needing all the help they could

get to make the playoffs.

Finishing bottom of its qualifying group after failing to win any games, it was only Sweden's performances in the 2024-2025 Nations League that secured its place in the playoffs.

Under new coach Graham Potter,

who was looking to revive his career after being fired by Chelsea and West Ham in recent years, the Swedes overcame Ukraine and Poland in the playoffs to advance.

Sweden's troubles in qualifying were unexpected considering it boasts two of Europe's top strikers in Alexander Isak and Viktor Gyökeres.

Other top players include Lucas Bergvall and Anthony Elanga.

Sweden, a runner-up in 1958, will have fond memories of the United States, having reached the semifinals when the World Cup was last hosted by America in 1994.

Tunisia

Tunisia is aiming to advance from the group phase for the first time in its seventh appearance at the World Cup.

It came close to breaking that streak four years ago in Qatar when finishing third in its group by beating defending champion France 1-0 and drawing with Denmark.

Coach Sabri Lamouchi was hired to replace Sami Trabelsi after Tunisia's disappointing early exit from the African Cup of Nations at the round of 16 stage.

The 21-year-old Khalil Ayari joined Paris Saint-Germain this season and recently made his breakthrough into the national team. (AP)



Messi to captain Argentina at WCup

AFP
Buenos Aires, May 29

Lionel Messi will captain Argentina at the World Cup, national coach Lionel Scaloni announced Thursday as he unveiled his 26-man squad.

Messi, 38, had not previously confirmed he would play in what will be a record-breaking sixth tournament for the Argentine superstar.

But it had been widely assumed the eight-time Ballon d'Or winner would again lead Argentina, four years after lifting the trophy in Qatar.

As well as confirming Messi's presence, Thursday's announcement notably excluded Real Madrid's Franco Mastantuono from the Argentina squad. Eighteen-year-old Mastantuono is considered one of the brightest prospects in Argentine football.

The largest ever World Cup, co-hosted by the United States, Canada and Mexico, kicks off June 11. Argentina's first match will be five days later against Algeria in Kansas City.

Messi has been at the heart of an injury scare in recent days, with his club side Inter Miami this week saying medical tests diagnosed him with muscle fatigue in his left hamstring.

The Major League Soccer club had provided no clear timetable for Messi's return after his abrupt exit from Miami's 6-4 victory over Philadelphia in the 73rd minute on Sunday. But Scaloni had played down the seriousness of the injury this week.

Romero returns

Center-back Cristian Romero, who suffered a knee injury last month and has not played since, was also named in the squad. The Tottenham Hotspur captain was ruled out for the remainder of the Premier League season after he



was shoved into his own goalkeeper by Sunderland striker Brian Brobbey.

Argentina's roster retains 17 of the 26 players who won the title in Qatar.

Young players who received call-ups include 21-year-olds Nicolas Paz and Valentin Barco. Palmeiras forward Jose Manuel Lopez, who only made his international debut last year, also features. Other notable absentees include Emiliano Buendia -- currently in excellent form at Aston Villa -- and Roma star Paulo Dybala.

The South American giants will journey to the United States for pre-World Cup friendlies against Honduras on June 6 and Iceland on June 9.

Argentina's World Cup group also contains Austria and Jordan.

Along with Messi, Portuguese forward Cristiano Ronaldo and Mexican goalkeeper Guillermo Ochoa are also expected to appear in their sixth World Cups this summer.

RS. 4.03 BN ALLOCATED FOR SPORTS



BY A STAFF REPORTER
Kathmandu, May 29

Linking the infrastructure to youth development and the local economy, the government has allocated Rs 4.03 billion for the sports sector for the upcoming 2026/27 fiscal year.

Presenting the federal budget, Finance Minister Swarnim Wagle announced that the government is set to upgrade 10 football stadiums, each with an 8,000-spectator capacity, by installing floodlights within three years.

Wagle added that the government is also preparing to construct modern cricket stadiums in eight major cities within five years.

"Indoor multipurpose stadiums with a minimum capacity of 2,000 will be built within the next three years in Biratnagar, Lahan, Pokhara, Butwal, Surkhet, and Phapla in Dhangadhi," Wagle said.

"Furthermore, investment modalities will be prepared following design reviews for the construction of the Mulpani Cricket Stadium and Academy, the Giriya Prasad Koirala Cricket Stadium, and the Phapla Cricket Stadium in Kailali."

To nurture grassroots talent, residential training programmes will be established for students showing a keen interest and talent in sports, with selection starting at primary school level. The budget also addresses athlete welfare. "To ensure a dignified life after retirement, lifelong free medical treatment will be provided to international medal-winning athletes," Wagle stated.

Additionally, the government has allocated funds to complete the 10th National Games in Surkhet, Karnali Province.

Capital has also been earmarked to construct the necessary infrastructure for the proposed 11th National Games in Madhesh Province.

The new allocation marks a significant drop from the previous fiscal year, where the outgoing government had allotted Rs 6.08 billion to the sports sector.

Iran defend CAVA title

BY A STAFF REPORTER
Kathmandu, May 29

Iran successfully defended their CAVA Women's Volleyball Championship title with a victory over Kazakhstan, while hosts Nepal finished fourth in the tournament's third edition on Friday.

Iran, who eliminated Nepal in the semi-finals, overcame Kazakhstan 25-18, 19-25, 25-15, 25-21 in a fiercely contested final at the Dasharath Stadium indoor hall. Kazakhstan had previously secured their place in the final with a straight-sets victory over India.

Iran beat Uzbekistan to claim the second edition while they finished third at first edition.

Following their respective semi-final defeats, India and Nepal, the finalists of the inaugural edition, battled for the bronze medal.

India maintained their historical dominance over the host nation,

securing third place with a 25-22, 25-23, 15-25, 25-22 victory.

This defeat marks the first time that Nepal has finished outside the medal positions in the championship's history. The hosts had previously claimed silver in 2024 after losing the final to India, and did not take part in the tournament's second edition.

Friday's result marked Nepal's second defeat against India in this tournament, following a five-set thriller during the group stage.

India also narrowly defeated Nepal in a five-set final to claim the title in 2024, though the Nepali team had managed a historic group-stage victory over their southern neighbours earlier in that tournament.

Nepal's recent struggles against India also include a gold-medal match defeat at the 13th South Asian Games (SAG).

A total of eight teams competed in this third edition of the CAVA Championship.

Sadbhav Acharya defends title

BY A STAFF REPORTER
Kathmandu, May 29

Nepal's Sadbhav Acharya successfully defended his men's individual title at the 12th Nepal International Amateur Golf Championship, sealing a dominant week for the hosts at the par-72 Gokarna Golf Club on Friday.

Acharya carded an even-par 72 in the final round to finish the 54-hole tournament with a nine-under-par total of 207.

His clinical performance secured a four-stroke victory over India's Vivaan Ubhayakar, who shot a two-under 70 to claim silver with a five-under 211 total. Nepal's Rahul Bishwakarma took the bronze medal, finishing at three-under 213 after carding a one-over 73.

Rounding out the men's top 10 were K. Danushan (Sri Lanka), Nikhil Pande (India), Nilofer Sivmoorthy (India), Chanaka Perera (Sri Lanka), Dechen Dhondup (Bhutan), alongside Nepali duo



Wangchen Dhondup and Tenzing Tsering.

In the women's field, Nepal's Tara Karki Chitrakar claimed the gold medal with a 25-over-par total of 241, closing out her campaign with a 12-over 84. Chitrakar finished a commanding 14 strokes ahead of compatriot Samjhana Khatri, who took silver with a total of 255 after also carding an 84 on Friday.

India's Nayonika Kapoor snatched the bronze medal on a scorecard count-back ahead of Nepal's Avani Rai after both finished tied on 260. Kapoor carded a final-round 85 to edge out Rai, who shot an 86.

India enjoyed a clean sweep in the boys' Under-17 category, locking out the podium. Ubhayakar's senior performance doubled as a junior gold with his five-under 211 total. Nilofer secured silver at two-over 218 following a final-round one-under 71, while Prince Bainsla (75) took the bronze with a total of 12-over 228.

Host nation Nepal topped the final medal standings with five medals (three gold, one silver, and one bronze). India finished with six medals (one gold, three silver, and two bronze), while Sri Lanka left with a single bronze. Bhutan and Bangladesh finished the tournament without a medal.

The tournament, organised by the Nepal Golf Association to mark Everest Day, featured 52 golfers representing five countries. Prizes were presented by Nepal Olympic Committee President Jeevan Ram Shrestha, NGA President Tashi Ghale, Treasurer Kishan Agrawal, and Board Member Chandra Tandan.

Arsenal aiming to dethrone dynasty-chasing PSG

AFP
Budapest, May 29

Arsenal seek to finally conquer Europe by wresting the Champions League crown from holders Paris Saint-Germain, who are themselves targeting back-to-back titles in Budapest on Saturday.

Luis Enrique's French champions are favourites to defend the trophy and establish an era of dominance in their post-superstar age, with heavyweight attackers Lionel Messi, Neymar and Kylian Mbappe departed.

Homing in on a career third Champions League trophy as a coach, the Asturian cleaned house after arriving in 2023, and created a cohesive, hard-working and brilliant PSG side in his image.

Luis Enrique took them to the semis in his first season, then past Arsenal last year in the final four before crushing Inter Milan to claim the Parisians a first European Cup -- 14 years and well beyond 1 billion euros (\$1.2bn) spent since Qatar Sports Investments took over the club.

By contrast Arsenal's team has been slow-cooked over nearly seven years by Mikel Arteta, without the overwhelming financial muscle of PSG or domestic



rivals Manchester City.

Last summer they recognised their developing team was finally ready to triumph and the Gunners reinforced in key areas.

It brought a first Premier League title in 22 years and a return to Europe's grandest stage after two decades away, following their 2006 final defeat by Barcelona in Paris.

Both teams arrive in Hungary with different reputations in the eyes of the world for the way they play.

PSG are the tournament's top scorers with 44 goals, while Arsenal are the team that has conceded fewest, shipping

just six and are unbeaten.

Ballon d'Or winner Ousmane Dembele, likely to be fit after a calf problem, Khvicha Kvaratskhelia and Desire Doue lead a thrilling attacking cast for a PSG side that edged Bayern Munich 6-5 in the semi-finals.

Beyond the class of winger Bukayo Saka, Arsenal stand out more for their grit and defensive discipline, with centre-back pairing Gabriel and William Saliba their regular stand-out performers, as well as midfield powerhouse Declan Rice.

Arteta's team will embrace the underdog role, keeping the champions

at bay and leaning on their superior set-piece quality.

'Two great teams'

Despite their contrasting styles, both sides have emerged as the competition's outstanding teams this season, shaped by two of the game's most demanding coaches.

Luis Enrique showed his tactical flexibility in the second leg against Bayern and never likes his team to be predictable.

"I think we're talking about two great teams -- along with Bayern Munich, the three best teams in Europe," the Asturian coach told UEFA.

"We'll have to adapt to play and defend in a different way compared to how we usually do if we want to get the better of them."

Along with Dembele the PSG right-back Achraf Hakimi is also expected to win his fitness battle for the game, while Arsenal defender Jurrien Timber is doubtful with a groin problem.

The French side's regular starters have largely played far fewer minutes than their Arsenal counterparts this season.

PSG play fewer matches in general and despite that, Luis Enrique has rotated and rested players regularly.

Arsenal were pushed to the limit to claim the English title, while PSG were

often able to leave their European starters on the bench domestically.

PSG matches against Nantes and Lens were also moved to suit the French club's European campaign.

Former Arsenal great Thierry Henry agrees his team enter the clash at the Puskas Arena as underdogs to a PSG side aiming to become the only side in the modern Champions League era to win the competition back-to-back, besides record 15-time winners Real Madrid.

"We're not at the level of those guys yet so you've got to be humble," Henry told CBS Sports.

"Paris Saint-Germain have the experience of knowing what it is to win it."

The Frenchman finished as a runner-up with Arsenal in 2006, but later won the trophy elsewhere, with Barcelona in 2009.

However Arsenal's eventual Premier League triumph, after three consecutive second-place finishes, might give them the confidence they need to write a new chapter in the club's history.

"They called us bottlers," gloated Arsenal's Myles Lewis-Skelly, brandishing a bottle of champagne during the team's Premier League celebrations. "And now we're holding the bottle."

The Gunners hope to be uncorking many more on Saturday night.